HOW 'ISLAMIC' IS ISLAMIC BANKING AND FINANCE?

A STATISTICAL STUDY TO ASSESS GENERAL PUBLIC PERCEPTION

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DECLARATION

It is certified that this BS thesis titled "How 'Islamic' is Islamic Banking and Finance? A Statistical Study to assess general public perception", is original research. Its content was not already submitted as a whole or in parts for the requirement of any other degree and is not currently being submitted for any other degree or qualification. To the best of my knowledge, the thesis does not contain any material published or written previously by another author, except where due references were made to the source in the text of the thesis.

It is further certified that help received in developing the thesis, and all resources used for the purpose, has duly been acknowledged at appropriate places.

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DEDICATION

Dedicated to ALMIGHTY ALLAH and HIS PROPHET MUHAMMAD (S.A.W.W), I express my sincere gratitude to my mentor Dr. Sajjad Haider Bhatti and especially to my Parents. The completion of this thesis could not have been possible without endless support, love and encouragement of my family and friends.

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ABSTRACT

This research explores the perceptions of Islamic banking and finance among the general public in Pakistan, aiming to statistically evaluate the adherence to Islamic principles in these financial systems. The study assesses awareness, understanding, and opinions about Islamic banking, examining the influence of gender, age, qualifications, occupation, and monthly income on these perceptions. Data from 186 respondents was collected through questionnaire surveys. The analysis indicates that gender, age, qualifications, occupation, and monthly income do not significantly influence the awareness and opinions about Islamic banking. Furthermore, these factors do not appear to play a significant role in determining the preference for using an Islamic bank over a conventional bank. However, age, occupation, and monthly income are important factors influencing the preference for the type of loan when purchasing a house or car. The findings contribute to understanding public perceptions of Islamic banking and finance in relation to adherence to Islamic principles.

CHAPTER 1

BRIEF INSIGHTS INTO ISLAMIC BANKING & FINANCE

Islamic Banking and finance also referred to as Sharia'h compliant banking and finance, are financial activities that are strictly abide by Sharia'h principles. Two underlying ideologies of Islamic banking and finance are sharing of profit and loss, and barring of collection and payment of Riba, known as Interest in banking system, by lenders and investors. Islamic Economic system is based on the Sharia'h principals of impartiality, equity, and integrity. In Islamic Capital Mobilization system, counter to the theory capital via savings, money is not to be held in stockpiles; it is to be Deployed in the real economy by Sharia'h compliant instrument such as *Mudarabah*, *Musharkah*, and *Murabaha* etc.

Islamic Finance, despite its name, is not a religious product. It is, however, a series of growing financial products developed to meet the requirements of specific groups of people.

1.1 Layman Definition for How Islamic Banking & Finance Works

The Islamic Banking model is based on the principle that money should only serve as a means of exchange and not as an asset for trading. Therefore, making money out of money through lending on interest is not allowed. Instead, Islamic Banks follow a different approach where they purchase an asset such as a house or a car and lease it to the customer. The customer can then repurchase the asset in instalments over a period. This means that Islamic banks take a real asset risk, making money out of the asset itself rather than making money out of money.

1.2 Why Islamic Banking and Finance?

The Holy Book of Islam, the QUR'AN, as well as the HADITH, set forth broad guidelines for the permissibility of economic activities in accordance with Islamic law. Over time, Islamic Scholars, have concluded that Muslims must avoid financial transactions involving RIBA, which refers to the extortionate moneylending or usury but literal meaning of 'excess' or 'increase' which is banned outright in QURAN, all practicing Muslims must also avoid financial transactions that involve excessive Gharar (uncertainty), Maysir (outright gambling), and haram products.

In the QURAN:

Surat No 2: سورة البقرة - Ayat No 275

اَلَّذِيۡنَ يَاۡكُلُوۡنَ الرِّبٰوا لَا يَقُوۡمُوۡنَ اِلَّا كَمَا يَقُوۡمُ الَّذِىۡ يَتَخَبَّطُهُ الشَّـــيۡطٰنُ مِنَ الۡمَسِّ‌ؕ ذٰلِكَ بِاَنَّهُمۡ قَالُوۡۤا اِنَّمَا الۡبَيۡعُ مِثۡلُ الرِّبٰوا‌ ۘ وَ اَحَلَّ اللّٰهُ الۡبَيۡعَ وَ حَرَّمَ الرِّبٰوا‌ؕ فَمَنۡ جَآءَهٗ مَوۡعِظَةٌ مِّنۡ رَّبِّهٖ فَانۡتَهٰى فَلَهٗ مَا سَلَفَ‌ؕ وَ اَمۡرُهٗۤ اِلَى اللّٰهِ‌ؕ وَ مَنۡ عَادَ فَاُولٰٓـئِكَ اَصۡحٰبُ النَّارِ‌ۚ هُمۡ فِيۡهَا خٰلِدُوۡنَ ﴿۲۷۵﴾

Those who consume interest cannot stand [on the Day of Resurrection] except as one stands who is being beaten by Satan into insanity. That is because they say, "Trade is [just] like interest." But Allah has permitted trade and has forbidden interest. So, whoever has received an admonition from his Lord and desists may have what is past, and his affair rests with Allah. But whoever returns to [dealing in interest or usury] - those are the companions of the Fire; they will abide eternally therein.

Surat No 2: سورة البقرة - Ayat No 278

يٰۤاَيُّهَا الَّذِيۡنَ اٰمَنُوا اتَّقُوا اللّٰهَ وَ ذَرُوۡا مَا بَقِىَ مِنَ الرِّبٰٓوا اِنۡ كُنۡتُمۡ مُّؤۡمِنِيۡنَ ﴿۲۷۸﴾

O you who have believed, fear Allah and give up what remains [due to you] of interest, if you should be believers

Surat No 2: سورة البقرة - Ayat No 279

فَاِنۡ لَّمۡ تَفۡعَلُوۡا فَاۡذَنُوۡا بِحَرۡبٍ مِّنَ اللّٰهِ وَ رَسُوۡلِهٖ‌ۚ وَ اِنۡ تُبۡتُمۡ فَلَـكُمۡ رُءُوۡسُ اَمۡوَالِكُمۡ‌ۚ لَا تَظۡلِمُوۡنَ وَ لَا تُظۡلَمُوۡنَ ﴿۲۷۹﴾

And if you do not, then be informed of a war [against you] from Allah and His Messenger. But if you repent, you may have your principle - [thus] you do no wrong, nor are you wronged.

Profit earned by Muslims should ideally reflect a proportionate share of the risk involved in a transaction by taking an equity stake, rather than being earned "risk-free" through a collateralized loan. The Islamic Banking system underscores this principle of risk-sharing, whereby the provider of funds, the financial intermediary, and the user of funds, all bear a portion of the risk involved in a financial transaction. Unlike in conventional banking, where the entrepreneur bears all the risk, Islamic Banking fosters a collaborative approach to risk-

sharing. It is worth noting that Islam forbids interest income and considers money to have zero opportunity cost. In brief, lending and borrowing in Islam are regarded as financing mechanisms for business activities, rather than a means of generating profit.

It is interesting to note that discouragement of Usury is not only the subject restricted to *Quran and Islam*, but *Ibrahimic Religions* give promotes the same message. At various points in their history Judaism and Christianity also condemned usury.

In the Bible:
Exodus 22:25:

"If you lend money to any of my people with you who is poor, you shall not be like a moneylender to him, and you shall not exact interest from him."

Leviticus 25:35-37:

"If your brother becomes poor and cannot maintain himself with you, you shall support him as though he were a stranger and a sojourner, and he shall live with you. Take no interest from him or profit, but fear your God, that your brother may live beside you. You shall not lend him your money at interest, nor give him your food for profit."

In the Torah:
(Deuteronomy 23:19):

"*Do not charge a fellow Israelite interest, whether on money or food or anything else that may earn interest. You may charge a foreigner interest, but not a fellow Israelite, so that the LORD your God may bless you in everything you put your hand to in the land you are entering to possess*."

John Calvin was a French theologian and pastor who played a significant role in the Protestant reformation, born on July 10, 1509, in Noyon, France. He is known for his influential work *"Institute of the Christian Religion"*, which was published in 1536 and later expanded in subsequent editions. This work was a systematic presentation of Protestant theology and became one of the most important theological works of the Reformation.

John Calvin had strong opinions about lending money on Interest. He believed that charging excessive interest rates was a sin and that lending money at moderate interest rates was permissible if it was done with good intentions. Calvin's views on lending money on interest were influenced by his interpretation of biblical teachings on usury. In his commentary on the book of EZEKIEL, He argued that usury referred to charging interest at an excessive rate, such as charging a poor person a high rate of interest on a loan. He believed that charging moderate interest rates on loans to those who could afford it was not sinful, as it allowed for the functioning of the economy.

Calvin's views on lending money on interest were also might be influential in the development of modern banking. The Protestant Reformation led to a change in attitudes towards money lending and borrowing, with the establishment of institutions that allowed for the lending of money at moderate interest rates. In this way, Calvin's views on lending money on interest may have contributed to the development of Modern Banking and the Capitalist System.

As mentioned earlier in the TORAH (Deuteronomy 23:19), it is worth noting that Jewish law known as HALACHA prohibits Jews from charging interest (ribbit) to other Jews. This prohibition is based on the principle of avoiding exploitation of fellow Jews and is derived from several biblical and rabbinic sources. Some Jewish banks and financial institutions may therefore operate on a non-interest basis or offer alternative financial arrangements that are compliant with Jewish law. However, it is also possible that some Jewish banks may operate on an interest-based model, especially when dealing with non-Jewish clients or in countries where interest-based banking is the norm.

1.3 Collaboratory Approach of Islamic Finance:

At its most fundamental level, financing any commercial enterprise is achievable by either securing a partner or borrowing funds if personal resources are insufficient for the task. Proponents of Islamic Banking and Finance (IBF) maintain that equity finance i.e., Profit Loss Sharing, is more desirable than interest-based debt finance due to its ability to allocate losses and profits between parties in a pre-agreed proportion. Furthermore, the borrower is not the sole responsible for the cost or loss of collateral in the event of business failure. If the venture succeeds, the financial investor receives a higher return than a predetermined interest rate would allow. It is known as *MUDARABA Financing*.

Another approach would be that two or more enterprises combine either their labour, capital, or both forming a joint venture in which all partners share the profit according to predetermined ration. However, unlike a traditional creditor, all the stakeholders will also share in any losses should they occur. This approach is known as *MUSHARKAH Financing.*

1.4 Non Collaboratory Approach of Islamic Finance:

Although equity participation is a common feature of Islamic financing, it is not the only option available. Islamic banking can also be conducted using non-participatory methods, known as non-profit and loss sharing (non-PLS), in addition to profit and loss sharing (PLS). PLS involves direct equity or partnership, but the financier may also choose to be non-participatory and forgo taking an equity stake. While most advocates of Islamic banking argue that equity participation is the preferred method, non-participatory financing, also referred to as "trade-based financing modes," may be considered acceptable in certain circumstances, such as for small or personal consumption loans. Although some consider non-PLS forms to be "weak Islamic forms" due to their lack of sharing of returns, early IBF theorists maintain that they are permissible if the parties involved share some degree of risk.

MURABAHA, also referred to as cost-plus financing, is an Islamic financing structure in which the seller and buyer agree to the cost and markup of an asset. The markup takes place of interest, which is illegal in Islamic law. As such, it is not an interest-bearing loan but is an acceptable form of credit sale under Islamic law. As with a rent-to-own arrangement, the purchaser does not become the true owner until the loan is fully paid. In a Murabaha contract of sale, a client petitions a bank to purchase an item on their behalf. Complying with the client's request, the bank establishes a contract setting the cost and profit for the item, with repayment typically in instalments. It is a type of transaction that involves the sale of goods, wherein both the buyer and the seller are aware of the cost of the goods to be sold, as well as the profit that will be earned from the sale. For the sale to be valid, the terms of the agreement must clearly state the purchase and selling price, along with the profit margin.

The *IJARA* contract is a legal agreement between two parties, whereby the lessor, also known as the Mu’ajjir, leases a physical asset or property to the lessee, also known as the Musta’jir. The lessee receives the benefits and rights of ownership over the asset in exchange for the payment of predetermined rentals, known as UJRAH, for a specified period, referred to as the IJARA period. Like MURABAHA, the bank is not the mutual owner of the asset. It acquires

ownership upon receiving a customer request. Ijarah rents are paid in instalments to cover the cost of the asset or value of investment for the plus fair return on investment. However, the ownership of property is not transferred throughout the Ijara period while the customer enjoys the benefits of using the asset.

Islamic Bonds, A *SUKK* plural *SUKUK*, is a general term for an Islamic financial certificate. Unlike conventional bonds, sukuk bonds are not debt obligations but represent a portion of ownership in an underlying asset or revenue stream. Although they provide investors with a means of generating returns, sukuk bonds differ in structure from traditional bonds. The majority of sukuk are financial instruments for public or corporate debts, and typically have a variable rate of return that is linked to a widely accepted market indicator rate (such as EURIBOR or LIBOR). To be in compliance with Sharia law, sukuk must be supported by an underlying "real" transaction.

The issuance of sukuk bonds involves an issuer, such as a government or corporation, establishing a special purpose vehicle (SPV) that utilizes funds raised from investors to acquire an underlying asset, such as infrastructure or real estate. The SPV subsequently issues sukuk certificates to investors, which represents a share of ownership in the asset or revenue stream generated from it. Periodic payments based on cash flows generated by the underlying asset or project are made to investors who purchase these sukuk certificates. Upon maturity, the SPV repurchases the sukuk certificates at their face value, thereby returning the initial investment to the investors.

Although there exist numerous modalities of Islamic financing, much of such financing may be classified into four principal forms. An analysis of the financing practices of the ten largest Islamic banks from 1994-1996 revealed that these four modalities - namely, Ijara, Mudaraba, Murabaha, and Musharkah - accounted for over 87% of all financing dispensed.

1.5 The Magnitude and Reach of Islamic Banking & Finance

Islamic banking has emerged as burgeoning power in the financial realm across globe in the last thirty years. Islamic banks can now be found operating in over 70 countries around the globe. As of 2008, the total value of global "Islamic Assets" was approximately US $700 billion (Economists, 2008). Moreover, the growth rate of assets in the sector had been around 15% per annum in the decade leading up to 2005.

Here are some statistics and reports on the growth and future market trend of Islamic Banking:

- According to the Islamic Financial Services Board, the global Islamic finance industry grew at a compound annual growth rate (CAGR) of 6.9% from 2014 to 2019. (Islamic Financial Services Board).
- The total value of assets held by Islamic banks worldwide is expected to reach $3.8 trillion by 2023, up from $2.5 trillion in 2019. (Thomson Reuters).
- The Middle East and North Africa (MENA) region accounted for 51% of the total assets held by Islamic banks in 2019. (Ernst & Young).
- Malaysia is the largest market for Islamic finance, with assets totalling $601 billion in 2019. (Thomson Reuters).
- Islamic banking is expected to continue its growth trajectory, with the industry projected to reach $3.69 trillion by 2024, growing at a CAGR of 14.3% from 2018 to 2024. (Research and Markets).
- The demand for Sharia-compliant financial products is not limited to Muslim-majority countries. In fact, non-Muslim countries such as the UK, Luxembourg, and Hong Kong have all issued sovereign Sukuk, or Islamic bonds, to attract investments from Islamic investors. (McKinsey & Company).

Some insights on Islamic banking growth and trends in Pakistan:

- Islamic banking assets in Pakistan grew by 21.8% in 2020, with the total assets reaching PKR 3.8 trillion (US$23 billion), making up 17.7% of the banking sector's total assets. (State Bank of Pakistan).
- The number of Islamic banking branches in Pakistan has grown to 3,420, making up 29% of the country's total bank branches. (State Bank of Pakistan).
- Pakistan has recently launched its first-ever Shariah-compliant savings certificate, with a profit rate of 10.8% per annum. (Gulf News).
- The government of Pakistan has announced plans to issue its first-ever sovereign Sukuk (Islamic bond) in the coming months, with a target of raising PKR 150 billion (US$900 million). (The Express Tribune).

- The Islamic banking industry in Pakistan is expected to continue growing, with the State Bank of Pakistan projecting that Islamic banking assets will reach PKR 4.4 trillion (US$27 billion) by the end of 2021. (State Bank of Pakistan).

Islamic banking in Pakistan seems to be growing at an unstoppable pace. As compared to conventional banking, which saw an average annual deposit growth of 13%, Islamic banking witnessed a staggering 42% increase in the same period. With its benefits being recognized even by non-Muslim countries, Islamic finance is rapidly gaining momentum across the globe.

Islamic finance in Pakistan is thriving, with the industry estimated to have surpassed 42 billion US dollars (5.5 trillion rupees) by the end of Q1 2022, according to Fitch Ratings. Islamic banks contribute 67 percent of the industry's total assets, followed by Sukuk at 26 percent, Islamic funds at 6 percent, and Takaful at 1 percent. The latest data from the State Bank of Pakistan reveals that Islamic banking assets and deposits constitute nearly 20 percent of the overall banking system. As of December 31, 2021, there were five full-fledged Islamic banks operating in Pakistan with 1,693 branches, 17 banks with standalone Islamic banking branches, and another 11 with Islamic banking sub-branches, bringing the total number of branches and sub-branches to 3,956 (source: SBP's Islamic Banking Bulletin, October-December 2021). Reports Dawn

1.6 Critical Views on Islamic Banking

Islamic banking has faced criticism from certain scholars on various grounds. A common concern is that IB is not truly "Islamic" in its practices, but rather a replication of CB with some Shariah-compliant features added on. Critics contend that IBs often use legal loopholes to make transactions appear Shariah-compliant when they are not.

In addition, some critics question the effectiveness of IB in achieving its intended objectives of promoting social justice and economic development, citing its failure to significantly reduce poverty or address income inequality.

The most notable critique of IBF *Sheikh Imran Hossein*, a Trinidadian and Tobagonian Islamic scholar, author, and philosopher, who specializes in Islamic eschatology, world politics, economics, and modern socio-economic/political issues, staunchly criticizes the IBs for being a part of bogus MODERN BANKING SYSTEM, which according to him emerged from Bretton Woods Agreement by interdicting the use of Gold and Silver as medium of exchange i.e. money which have intrinsic value, and creation of fraudulent paper money out of nowhere.

He posits that there are two basic forms of Riba. One is lending money on interest and for that rich will remain rich, and poor will be imprisoned in poverty forever and ever, and money will no longer circulate through the economy. And the other one he points out that using paper as a form medium of exchange i.e., money, thus creating a fictitious value. According to him, paper money allows for the easy creation of credit, which in turn creates inflation and devalues the currency. This leads to a situation where people need to take on debt to maintain their purchasing power, which ultimately leads to more Riba-based transactions.

1.7 Customer Perception Towards Islamic Banking

Perceptions of customers towards Islamic and conventional banking. These perceptions may vary depending on a plethora of factors, such as one's cultural, religious, and personal beliefs. It is known that some customers deem Islamic banking as a more ethical and socially responsible option compared to conventional banking, as it adheres to the principles and values of Islam. Thus, these customers tend to favour Islamic banking products and services that align with their beliefs and values.

Warde (2000) argues that Islamic banks face cultural challenges related to trust, risk, and governance. To succeed in the long term, they must adapt to the social norms of the regions where they operate. *Khan (2010)* questions the legitimacy of Shariah scholars who certify services as "Islamic," as many Islamic banks use conventional interest-based products with Islamic terminology. He suggests that scholars may be more concerned with reinforcing customers' Islamic identity than ensuring the financial products are genuinely distinct. Haroon, Ahmad, and Planisek (1994) found that customers value good service regardless of religion, meaning an Islamic bank with poor service can't compete with a conventional bank offering fast, high-quality service. Studies by Khalidi & Amanullah (2010), Erol & El-Bdour (1989), and Erol, Kaynak & Elbdour (1990) also support this, concluding that Islamic banks cannot solely rely on their identity to substitute for good service.

Another study suggests that consumers in Pakistan have a positive perception of Islamic banking and finance. Analysis indicates that awareness, knowledge, and religiosity positively impact consumer perception. To improve awareness and understanding, Islamic banks could develop better marketing strategies and increase their presence through mosque visits and conferences. Collaboration between industry and scholars could also lead to more innovative products for consumers.

Academic studies on the modern Islamic experience have overlooked the perceptions and experiences of ordinary Muslims, Islamic scholars, and bank employees. This lack of attention has resulted in studies that focus on abstract literary concepts, rather than addressing the concrete material realities of the subject's context.

1.8 Objectives

The main objective of this research study is to statistically assess the general public's perception of the level of adherence to Islamic principles in Islamic Banking and Finance. The study aims to investigate the following specific objectives:

- To analyze the awareness and understanding of Islamic Banking and Finance among the public.
- To assess the perception of the public regarding the degree of conformity of Islamic Banking and Finance practices to Islamic principles.
- To examine the factors that influence the perception of the public towards the Islamic nature of Islamic Banking and Finance.
- To compare the perception of Islamic Banking and Finance across different demographic groups, such as age, gender, qualification, and income.
- To provide valuable insights and recommendations based on the findings, aiming to enhance the understanding and awareness of Islamic Banking and Finance principles among the public.

By achieving these objectives, the research study aims to contribute to the existing knowledge on Islamic Banking and Finance and provide empirical evidence to assess the alignment of practices with Islamic principles from the perspective of the public.

Chapter 2

LITERATURE REVIEW

In essence, Islamic banking and financial institutions operate under Sharia principles that renounce interest and other forbidden activities, such as gambling and speculation. These transactions are deemed detrimental to society, and instead, the system advocates for genuine economic activities through risk and reward sharing among involved parties (Khan, 2010; Ariff, 1988; Schoon, 2008; Lewis; 2008).

However, researchers argue that the Islamic financial system's transactions are more intricate and challenging (Cobham, 1992; Sundararajan and Errico; 2002) than conventional ones and rely mostly on assets rather than debt.

The perception of Islamic banking differs from the reality, highlighting a growing gap. Islamic banks must take action to expand their system, (Soha Khan, Asma Zeeshan, Azeem Gul, Syed Arslan Haider; 2021).

After 30 years since its inception, Islamic banking still lacks significant differentiation from conventional banking, contrary to claims made by its advocates. While it does not offer a true alternative, it does provide an Islamic identity by using Islamic terminology for conventional financial transactions, (Feisal Khan; 2010).

2.1 Potentialities for Empowerment, Challenges, and the Role of Scholars

In the UK, Islamic banking faces challenges and opportunities, particularly for scholars to meet the needs of the Muslim community. Little research has been conducted on this topic, but scholars like Mandaville and Kuran have highlighted the socio-economic consequences of the minority diaspora's faith pervasion. UK-based Muslims express concerns over the practices of Islamic banks, such as repeatedly employing the same scholars from Muslim-dominated countries who lack understanding of UK financial needs. Younger religious experts should be included in Shariah committees to modernize institutions and provide employment

opportunities. The lack of modern contextualization and English-language lectures, workshops, and sermons by UK-based scholars contributes to young British Muslims feeling isolated from the religious mainstream. There is confusion among Muslims about the validity of Islamic financial products due to multiple schools of religious thought, which requires coherent accounts for interpretation. Islamic scholars and bank employees have concerns about the future of Islamic banking in the UK, but there is a need for a catalyst for community change. The inclusion of younger individuals with experience of modern British life and the potential of the internet as a tool for providing relevant information are important factors in addressing these challenges. Islamic scholars and bankers both recognize the need for Islamic banking to empower the UK's Muslim community. The scholars desire cooperation with the industry to bridge gaps in understanding and bring new ideas. They also acknowledge the need for training in Islamic economics. Scholars and bankers differ in their understanding of the industry and ways to empower the community, indicating the need for dialogue and perseverance. Scholars should practice Ijtihad and identify commonalities to develop an industry that better serves community needs, while also acknowledging spiritual heterogeneity, (Umair Riaz, Bruce Burton, Lissa Monk; 2017).

The study aimed to answer research questions regarding factors that contribute to Islamic finance usage and growth in the UAE. Awareness and expected benefits were found to be the main factors, with awareness having the biggest impact. Public perception was not found to significantly impact growth. To increase market share, stakeholders should increase awareness and articulate the benefits of Islamic finance. Investing in institutional development and government involvement in education and skills development could help, as seen in Malaysia's success with Islamic finance in the 1990s, (Mohammed H. Warsame; 2015).

The study finds that the religious compliance review task of Shariah Boards (SBs) in Islamic banks is deficient due to their lack of financial knowledge. SBs delegate the compliance review function to internal officers, undermining their legitimacy and stakeholder theories. To improve SBs' credibility, their religious compliance role should be transferred to external religious auditors, leaving SBs to serve only in an advisory capacity. The Malaysian regulatory bodies should also standardize the religious audit process and develop specific audit tools to ensure SBs perform their role diligently. The newly implemented 2011 SGF has improved the quality of religious assurance, enhancing SBs' credibility, (Nurfarahin, M. Haridan, Ahmad, Yusuf; 2018).

2.2 Conventional Bank's Interest Rate & Islamic Banking

The research findings suggest a correlation and a causal relationship between the changes in interest rates and financing by Islamic banks. Within the confines of sample study, it was found that lending rates, as set by Bank Negara Malaysia, Granger-cause financing by IBs in Malaysia, (Rafi, Umar and Masih, Mansur; 2014).

2.3 Islamic Banking Products and Services

Islamic financial institutions engage in sale and lease-based contracts that are backed by assets, as well as beneficent finance and pooling of expertise, (Aliyu, 2014; Hussain et al.; 2015).

These types of transactions tend to promote the growth of entrepreneurship, which in turn has a ripple effect on societal prosperity. Hence, within the framework of Islamic finance principles, ownership rights are of utmost importance, and the sale of unpossessed property is not allowed, as seen in the practice of short selling. In sum, the longevity and prosperity of Islamic banks are expected to have a positive impact on society and the environment, (Hussain et al.; 2015).

2.4 Principles and Practices

The principles of PLS, Profit and Loss Sharing, are in line with the fundamental objectives of Islamic economics, and the Islamic economic and financial system shows potential in restoring financial imbalances to a stable equilibrium, (Khan; 1986).

There is little difference between Islamic banks and conventional banks. While some IBs may practice profit-and-loss sharing, they often closely tie their deposit rates to those of CBs. The growth of IBs does not hinge on the benefits of PLS, but rather responds to the global resurgence of Islamic finance, (Chong, and Liu; 2009).

Monetary policy adjustments are not observed to affect the types of bank financing available. However, the size and liquidity of banks seem to have an effect, and this is particularly true for Islamic banks regarding their capitalization, (Asbeig and Kasim; 2015).

Study shows that Islamic banks deviated from ideal PLS model and now use lease/sales-based contracts. Interest rate influences banking activities, not the real economy. Risk-sharing

contracts unique to Islamic banking can promote shared prosperity and social well-being, (M. Kabir & Sirajo Aliyu; 2017).

2.5 The Overall Success and Standing of Islamic Financial Institutions

In earlier and post-global financial crisis studies, the Islamic monetary system was found to be more buoyant. However, some argue that the crisis did spill over to Islamic banking. Strict Sharia compliance is necessary for system stability, (M. Kabir & Sirajo Aliyu; 2017).

The respondents' perception was that IBs foster Islamic values and aid social objectives through poverty alleviation and sustainable development programs, (Dusuki; 2008).

Islamic banks exhibit less cost-effectiveness compared to conventional banks, with a higher intermediation ratio, asset quality, and capitalization, even during financial crises. The superior stock performance of listed Islamic banks during crises can also be attributed to their higher levels of capitalization and asset quality, (Beck; 2013).

IBs stand out with higher gross and net efficiency, although they fall short in terms of overall efficiency compared to their CB counterparts. The reason behind this is a lack of product standardization, which hampers their efficiency. However, IBs make up for this with their strong managerial capability, resulting in high net efficiency, (Johnes; 2014).

IBs' performance was found to be positively impacted by the supervisory role of the Sharia board but declined when the board acted solely in an advisory capacity. Furthermore, the board structure and power of the CEO were discovered to have a detrimental effect on the performance of IBs, (Mollah and Zaman; 2015).

There is no significant difference in financial strength between Islamic banks and conventional banks overall. However, IBs tend to perform better in the MENA region and Senegal, while CBs outperform IBs in Asia and the GCC region, (Doumpous; 2017).

2.6 Efficiency of Islamic Banks

The inefficiency rate of 18 IBs is relatively lower than CBs, standing at around 10%. However, during the 1998-1999 financial crisis, the inefficiency effect was severe on IBs, (Yudisitira; 2004).

During the period of the study, the overall efficiency of IBs has been on the rise, along with their assets, deposits, and financing. However, this trend is not observed among CBs, as they remain stable. Despite these improvements, the efficiency scores of IBs remain lower than those of CBs. Furthermore, full-fledged IBs tend to be more efficient than window banks, and foreign window banks are more efficient than domestic ones, (Mokhtar; 2006).

Through poverty alleviation and sustainable development schemes, the respondents believed that IBs promoted Islamic values and aided social objectives, (Dusuki; 2008).

Profitability appears to be more influential than cost-efficiency in determining the success of banks, and thus, greater emphasis should be placed on the former rather than the latter. Among global banks, those located in the MENA region perform relatively well in terms of profitability, but they trail behind European banks. Despite this, MENA banks are operating below their optimal size, (Olson and Zoubi; 2011).

Compared to CBs, IBs exhibit lower levels of non-performing loans and higher liquidity positions, albeit lower efficiency levels. Highly capitalized CBs have shifted towards investment banking from traditional banking, leading to increased profitability and efficiency, (Pellegrina; 2012).

2.7 Management and Profit Competency

Studies suggest that Islamic banks are not always cost-efficient, but some have shown to be better in managerial competency and profit efficiency. Long-term survival of the system requires maintaining and improving managerial skills, utilizing technology to reduce costs, and ongoing capacity development through training. This is crucial due to frequent changes in global financial practices. It's noted that the same products are offered across borders with varying structures, with some products simply rebranded from conventional banking without adhering to Sharia standards (Beck et al.; 2013).

While Sharia restrictions can mitigate risky behaviour, the income structure of Islamic banks can still affect their insolvency risk due to a higher share of ownership by depositors and shareholders. Thus, risk management strategies should be enhanced by Islamic banks to uphold solvency, (M. Kabir & Sirajo Aliyu; 2017).

Although Islamic banking has seen a substantial increase in deposits, investments, assets, and branch network during the study period, the profitability leaves much to be desired. This is evidenced by the negative correlation between deposit and investment, while financing is significantly positive with performance. Thus, it is imperative for Islamic bank management to focus on improving efficiency by prudent asset management and cost reduction, particularly the operational cost, (Jamil Anwer, Maghul Jadoon; 2018).

Chapter 3

METHODOLOGY

The study adopts a descriptive research approach within the context of Pakistan to investigate and describe the factors that demonstrate influence of Islamic Banking and Finance on Public Perception. Descriptive research aims to identify and define the characteristics and various dimensions related to the variable of interest in a particular phenomenon. By employing a systematic approach, this study enables the researcher to thoroughly analyse different aspects of the situation under investigation, thereby enhancing the understanding of the topic.

3.1 Sample Population

Sample Population for the thesis was General Public with different sectors of life.

3.2 Sample Data

This research utilizes questionnaire surveys to investigate the public's perceptions of Islamic banking products and services in Pakistan. Questionnaire was divided in two parts.

There were eight demographic questions and thirty-three were questions related to Islamic Banking and Finance. Total of 186 responses were generated.

3.3 Tools for Data Collection and Analysis

Primary data for this study was collected using Google Forms. A link to the survey was shared with individuals from diverse sectors, and their responses were collected and stored in Google Sheets. The collected data was subsequently downloaded to Excel Sheets. To perform further data analysis, the Excel Sheets were imported into R Studio (RStudio/2023.03.1), a software environment for statistical computing and graphics.

3.4 Coding Scheme

Variable	Categories	Coded Variable
Age	Lowest thru 18 years	1

	19 years thru 28 years	2
	29 years thru 60 years	3
	61 years thru Highest	4
Monthly Income	Less than Rs.30000	1
	Rs.30000- Rs.50000	2
	Rs.50001- Rs.70000	3
	Above Rs. 70000	4

3.5 Questions Indexing

The thirty-three questions pertaining to Islamic Banking and Finance were categorized into three components:

- Islamic Banking and Finance Awareness
- Islamic Banking and Finance Opinion
- Irrelevant to the above-mentioned categorized questions/Unindexed Questions.

The scores of two components were combined to create an index. To analyse the relationship between these component questions and demographic characteristics of the data, statistical tests such as T-Test, ANOVA, and Chi-Square were applied. These tests allowed for a better understanding and inference regarding the association between the components and demographic variables.

3.6 Methods and Statistical Tests Employed for Analysis

In the present study, a comprehensive data analysis approach was adopted, encompassing both descriptive and inferential analyses. Descriptive analysis was utilized to effectively summarize and depict the data, providing meaningful insights into its characteristics. However, it is important to acknowledge that descriptive analysis solely serves the purpose of describing the analysed data, without extending conclusions beyond the scope of the examined dataset. To facilitate the descriptive analysis, techniques such as frequency

distribution and percentage analysis were employed. For inferential analysis, statistical tests including the chi-square test, analysis of variance (ANOVA), and two independent t-tests were employed to draw inferences and evaluate potential associations or differences within the data.

3.6.1 The Independent Samples T Test

The Independent Samples T Test is a statistical analysis that compares the means of two separate groups to determine if there is sufficient evidence to conclude that the means of their respective populations are significantly different from each other.

The variables used in this test are known as:

- Dependent variable, or test variable
- Independent variable or grouping variable.

Assumptions for T Test

- Dependent variable that is continuous (i.e., interval or ratio level)
- Independent variable that is categorical and has exactly two categories.
- Random sample of data from the population
- Normal distribution (approximately) of the dependent variable for each group
- Homogeneity of variances (i.e., variances approximately equal across groups)

  When this assumption is violated and the sample sizes for each group differ, the p value is not trustworthy. However, the Independent Samples t Test output also includes an approximate t statistic that is not based on assuming equal population variances. This alternative statistic, called the Welch T Test statistic, may be used when equal variances among populations cannot be assumed. The Welch T Test is also known as an Unequal Variance T Test or Separate Variances T Test.

Hypothesis for T Test

The null hypothesis (H_0) and alternative hypothesis (H_1) of the Independent Samples T Test can be expressed as:

H_0: $\mu_1 = \mu_2$ ("the two-population means are equal")
H_1: $\mu_1 \neq \mu_2$ ("the two-population means are not equal")

3.6.2 One-Way ANOVA

One-Way ANOVA ("analysis of variance") compares the means of two or more independent groups to determine whether there is statistical evidence that the associated population means are significantly different.

The variables used in this test are known as:

- Dependent variable
- Independent variable (also known as the grouping variable, or factor)

This variable divides cases into two or more mutually exclusive levels, or groups

Assumptions

- Dependent variable that is continuous (i.e., interval or ratio level)
- Independent variable that is categorical (i.e., two or more groups)
- Independent samples/groups (i.e., independence of observations)
- Normal distribution (approximately) of the dependent variable for each group (i.e., for each level of the factor)
- Homogeneity of variances (i.e., variances approximately equal across groups)

Hypothesis

The null and alternative hypotheses of one-way ANOVA can be expressed as:

H_o: $\mu_1 = \mu_2 = \mu_3 = \ldots = \mu_k$ ("all k population means are equal")
H_1: At least one μ_i different ("at least one of the k population means is not equal to the others")

3.6.3 Pearson's Chi Square Test for Independence

The Chi-Square Test of Independence determines whether there is an association between categorical variables (i.e., whether the variables are independent or related). It is a nonparametric test.

This test is also known as:

- Chi-Square Test of Association.

This test utilizes a contingency table to analyze the data. A contingency table (also known as a *cross-tabulation*, *crosstab*, or *two-way table*) is an arrangement in which data is classified according to two categorical variables. The categories for one variable appear in the rows, and the categories for the other variable appear in columns. Each variable must have two or more categories.

Assumptions of Pearson's Chi Square Test

- Two categorical variables.
- Two or more categories (groups) for each variable.
- Independence of observations.

Hypothesis

The null hypothesis (H_0) and alternative hypothesis (H_1) of the Chi-Square Test of Independence can be expressed in two different but equivalent ways:

H_0: "[*Variable 1*] is independent of [*Variable 2*]"

H_1: "[*Variable 1*] is not independent of [*Variable 2*]"

OR

H_0: "[*Variable 1*] is not associated with [*Variable 2*]"

H_1: "[*Variable 1*] is associated with [*Variable 2*]"

3.6.4 Bartlett test of homogeneity of variances

The Bartlett test of homogeneity of variances is used to assess whether the variances of multiple groups are significantly different.

Hypothesis

The hypothesis for the Bartlett test is as follows:

Null Hypothesis (H_0): The variances of the groups are equal.

Alternative Hypothesis (H_1): The variances of the groups are not equal.

Level Of Significance

Commonly use Level of Significance $\alpha = 0.05$ or 5% was used.

Chapter 4

Statistical Analysis and Interpretation

This chapter presents the application of Statistical Analysis using the R programming language and the subsequent interpretation of the results. Part 1 of the chapter focuses on conducting Descriptive Statistical Analysis for both the demographic questions and the questions pertaining to the thesis topic.

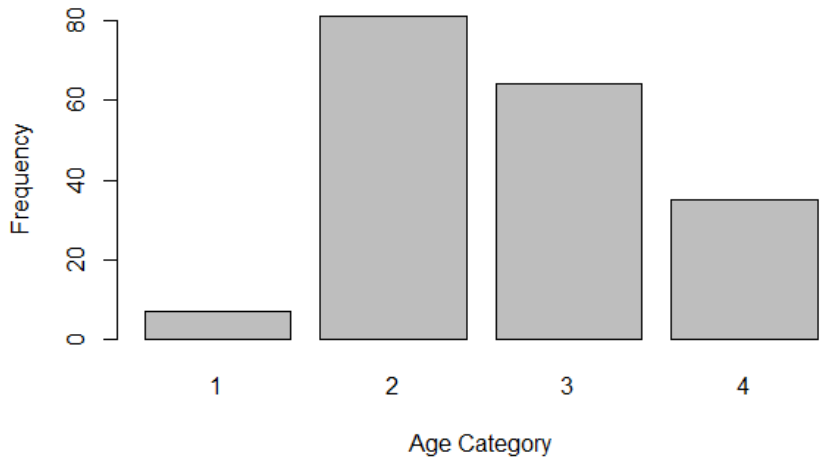
By employing rigorous statistical techniques, this analysis aims to identify patterns, trends, and key features within the data. The findings from this Descriptive Statistical Analysis serve as a foundation for further analysis and interpretation in subsequent chapters, enabling a comprehensive understanding of the research findings and their implications.

4.1 Descriptive Analysis

Descriptive analysis encompasses a range of statistical techniques utilized to depict the fundamental characteristics inherent comprehensively in each dataset or sample. This analytical approach involves the systematic organization, summarization, and presentation of data in a meaningful manner, often employing measures of central tendency (such as mean, median, and mode) and measures of dispersion (such as range, variance, and standard deviation). As a pivotal step in data exploration, descriptive analysis forms the cornerstone for subsequent statistical analyses and interpretation.

Age Category

		Frequency	Percent	Cumulative Percent
Valid	1	7	3.7	3.7
	2	81	43.3	47.1
	3	64	34.2	81.3
	4	35	18.7	100.0
	Total	187	100.0	



The provided result displays the frequency and percentage distribution of responses on an ordinal scale.

Response 1: There were 7 respondents (3.7%) who chose this option, indicating a relatively low frequency for respondents less than 18 years.

Response 2: Most respondents, 81 individuals (43.3%), selected this option, indicating a significant proportion of participants were aged between 19 and 28 years.

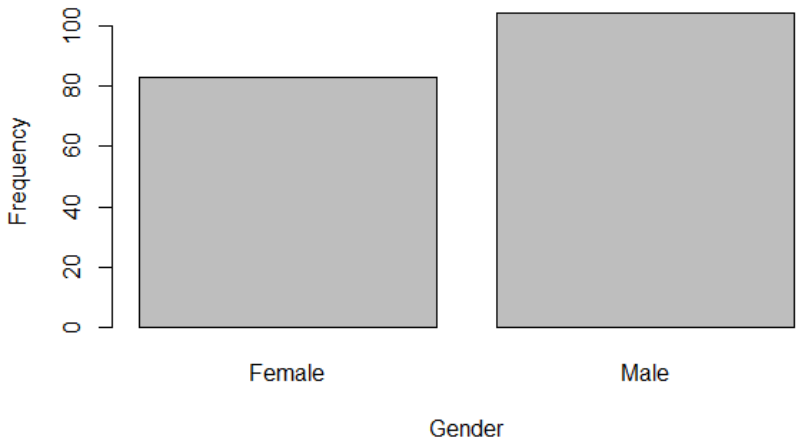
Response 3: 64 respondents (34.2%) selected this option, representing a considerable proportion of participants were from 29-60 years of age.

Response 4: 35 individuals (18.7%) chose this option, indicating a relatively lower frequency age group for more than 60 years of age.

In summary, the interpretation reveals the distribution of responses on the ordinal scale, with Response 2 being the most frequent choice among participants, followed by Response 3. Responses 1 and 4 had relatively lower frequencies.

Gender

		Frequency	Percent	Cumulative Percent
Valid	Female	83	44.4	44.4
	Male	104	55.6	100.0
	Total	187	100.0	



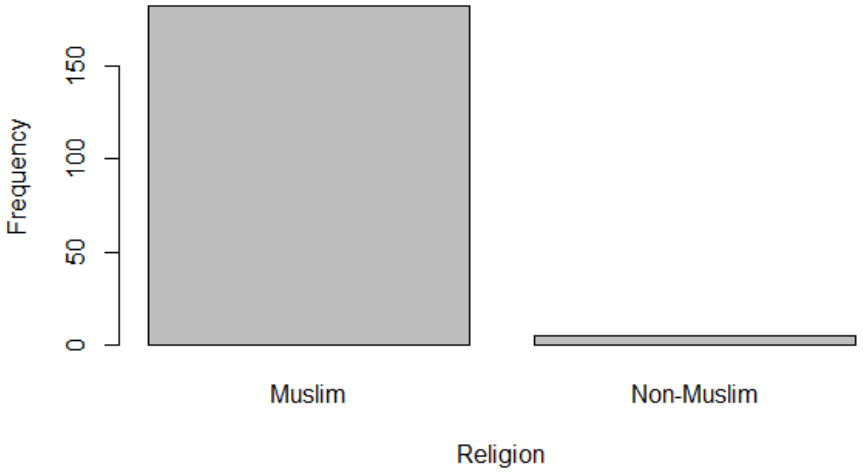
The given result presents the frequency and percentage distribution of respondents based on their gender.

In the sample, there were 83 individuals (44.4%) who identified as female, while 104 individuals (55.6%) identified as male. This indicates that both females and males were represented in the study, with a slightly higher proportion of male participants.

In summary, the interpretation highlights the gender distribution of the participants, with a nearly equal representation of males and females, although there is a slightly higher proportion of males in the sample.

Religion

		Frequency	Percent	Cumulative Percent
Valid	Muslim	182	97.3	97.3
	Non-Muslim	5	2.7	100.0
	Total	187	100.0	



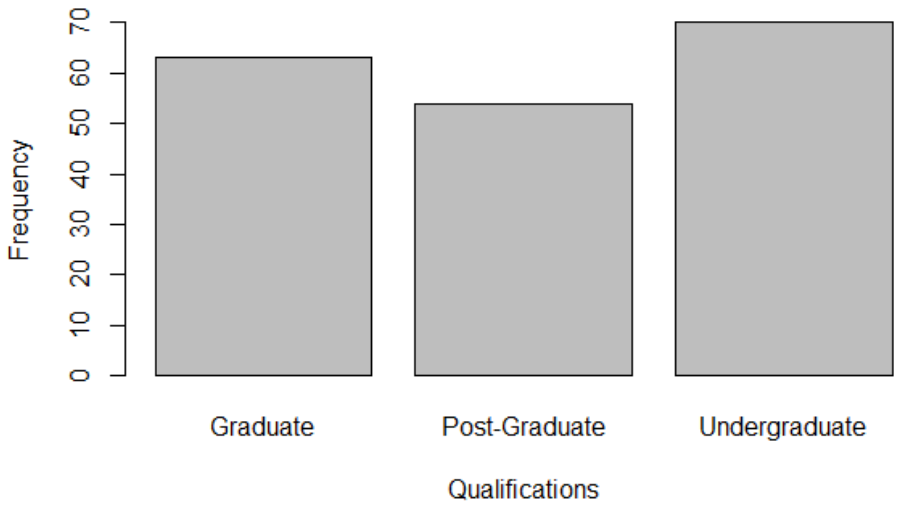
The given result shows the frequency and percentage distribution of respondents based on their religion.

Among the participants, 182 individuals (97.3%) identified as Muslims, indicating that the majority of the study's sample belonged to the Muslim faith. On the other hand, 5 individuals (2.7%) identified as non-Muslims, representing a smaller proportion of participants who followed different religions or had no religious affiliation.

In summary, the interpretation highlights that the study primarily consists of Muslim respondents, with a small percentage of non-Muslim participants.

Qualifications

		Frequency	Percent	Cumulative Percent
Valid	Graduate	63	33.7	33.7
	Post-Graduate	54	28.9	62.6
	Undergraduate	70	37.4	100.0
	Total	187	100.0	



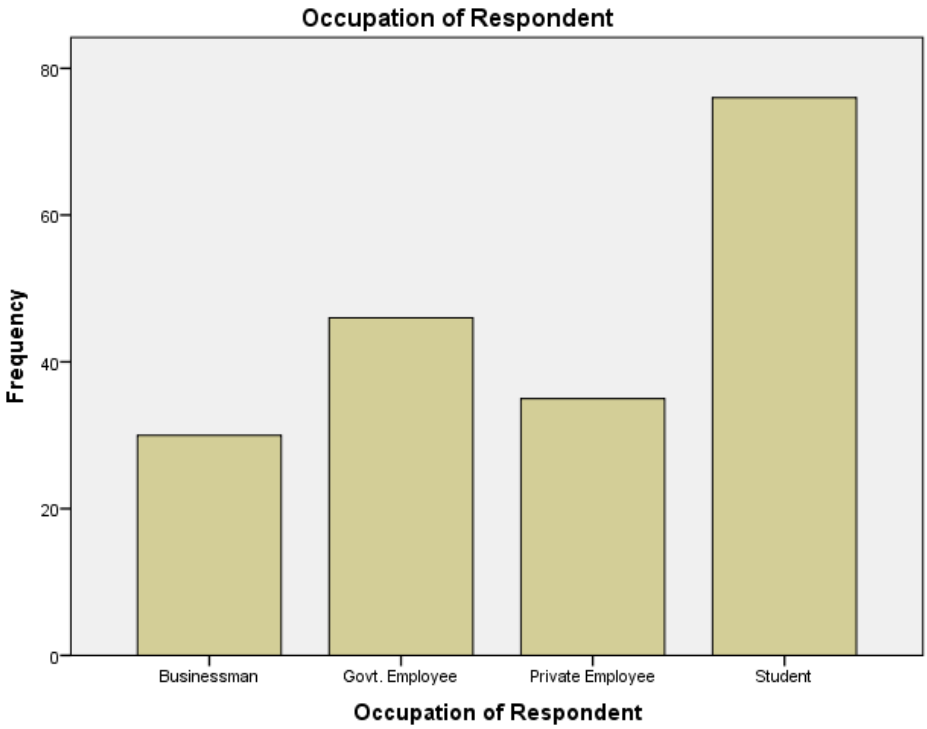
The given result presents the frequency and percentage distribution of participants' educational levels.

Within the sample, 63 individuals (33.7%) reported having a graduate level of education, indicating a significant portion of participants with advanced educational attainment. Additionally, 54 participants (28.9%) indicated a post-graduate educational background, reflecting a substantial proportion of individuals with further academic qualifications. Most respondents, 70 individuals (37.4%), reported being at the undergraduate level of education, suggesting a significant presence of participants pursuing their undergraduate studies.

In summary, the interpretation suggests that among the participants, the majority had an undergraduate education, followed by post-graduate and graduate levels of education.

Occupation of Respondents

		Frequency	Percent	Cumulative Percent
Valid	Businessman	30	16.0	16.0
	Govt. Employee	46	24.6	40.6
	Private Employee	35	18.7	59.4
	Student	76	40.6	100.0
	Total	187	100.0	



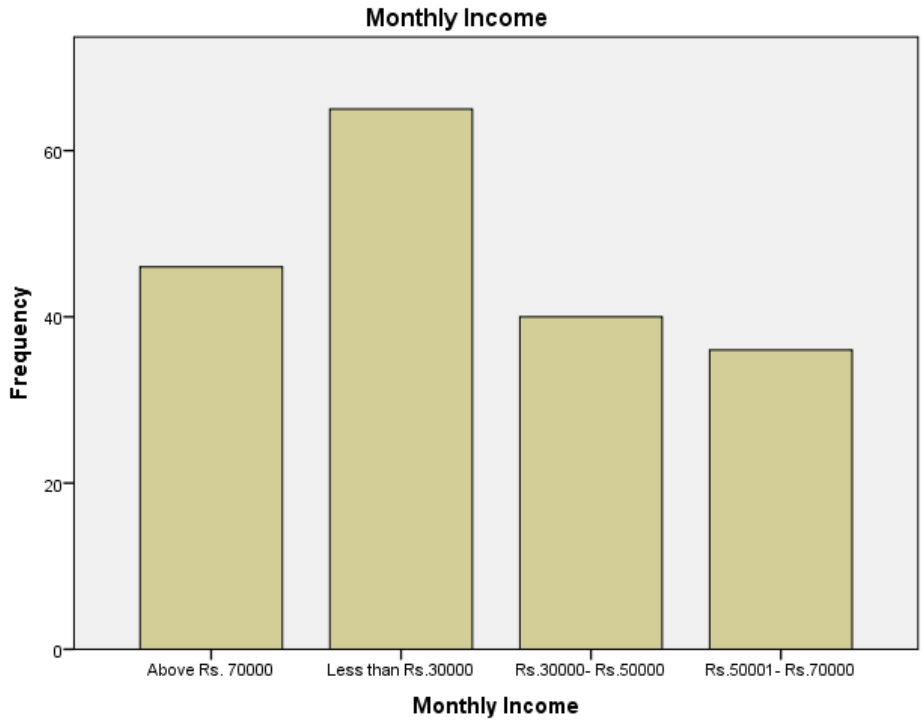
The given result provides the frequency and percentage distribution of participants' occupations.

Among the participants, 30 individuals (16.0%) identified themselves as businessmen, indicating a small but notable presence of entrepreneurs within the sample. Additionally, 46 participants (24.6%) reported being employed in the government sector, highlighting a significant proportion of individuals working in governmental roles. Furthermore, 35 respondents (18.7%) indicated being employed in the private sector, signifying a considerable representation of participants in private employment. The largest group, comprising 76 individuals (40.6%), identified themselves as students, suggesting a significant number of individuals pursuing their studies at the time of the research.

In summary, the interpretation suggests that among the participants, the largest proportion were students, followed by government employees, private employees, and businessmen.

Monthly Income

		Frequency	Percent	Cumulative Percent
Valid	Above Rs. 70000	46	24.6	24.6
	Less than Rs.30000	65	34.8	59.4
	Rs.30000- Rs.50000	40	21.4	80.7
	Rs.50001- Rs.70000	36	19.3	100.0
	Total	187	100.0	



The provided data presents the frequency and percentage distribution of participants' income levels.

A total of 46 individuals (24.6%) in the sample reported having an income above Rs. 70000, indicating a significant portion of participants with relatively high incomes. On the other hand, 65 respondents (34.8%) indicated having an income below Rs. 30000, representing a substantial proportion of individuals with lower incomes. Additionally, 40 participants (21.4%) reported their income to be within the range of Rs. 30000 to Rs. 50000, signifying a notable group of participants with moderate income levels. Furthermore, 36 individuals (19.3%) had an income falling between Rs. 50001 and Rs. 70000, suggesting a smaller but still significant proportion of participants with incomes in that range.

In summary, the interpretation suggests that among the participants, the largest proportion had an income level below Rs. 30000, followed by those with an income above Rs. 70000, the range of Rs. 30000 to Rs. 50000, and the range of Rs. 50001 to Rs. 70000.

Statements	Frequency (%)				
	Strongly Disagree	**Disagree**	**Neutral**	**Agree**	**Strongly Agree**
I am familiar with the Islamic Banking and Finance.	41 (21.9%)	26 (13.9%)	39 (20.9%)	41 (21.9%)	40 (21.4%)
I understand the differences between Conventional Banking & Islamic banking.	40 (21.4%)	25 (13.4%)	40 (21.4%)	43 (23%)	39 (20.9%)
Islamic Banking involves risk sharing between the bank and customers.	36 (19.3%)	31 (16.6%)	52 (27.8%)	43 (23%)	25 (13.4%)
Islamic Banks bear the loss in practical cases.	36 (19.3%)	50 (26.7%)	45 (24.1%)	28 (15%)	28 (15%)
Islamic Banks use classical Arabic linguistic words for their products and services to appear more Islamic.	31 (16.6%)	33 (17.6%)	43 (23%)	47 (25.1%)	33 (17.6%)
Islamic Banking is based on Sharia Principles.	31 (16.6%)	26 (13.9%)	54 (28.9%)	43 (23%)	33 (17.6%)
Islamic Banking promotes Islamic Values.	37 (19.8%)	38 (20.3%)	32 (17.1%)	39 (20.9%)	41 (21.9%)
I believe the Murabaha mode of Islamic Finance is compliant with Shariah principles.	44 (23.5%)	39 (20.9%)	54 (28.9%)	27 (14.4%)	23 (12.3%)
I believe the Musharkah mode of Islamic Finance is compliant with Shariah principles.	31 (16.6%)	38 (20.3%)	53 (28.3%)	31 (16.6%)	34 (18.2%)
I believe the Mudarabah mode of Islamic Finance is compliant with Shariah principles.	34 (18.2%)	39 (20.9%)	49 (26.2%)	38 (20.3%)	27 (14.4%)
I believe the Ijarah mode of Islamic Finance is compliant with Shariah principles.	34 (18.2%)	35 (18.7%)	53 (28.3%)	38 (20.3%)	27 (14.4%)

I believe the Sukuk Bonds are compliant with Shariah principles.	33 (17.6%)	38 (20.3%)	56 (29.9%)	28 (15%)	32 (17.1%)
Islamic banks generate wealth through legitimate and asset-based investment.	29 (15.5%)	33 (17.6%)	53 (28.3%)	39 (20.9%)	33 (17.6%)
Islamic banks work for the social and ethical benefit of their customers beyond profit returns.	33 (17.6%)	29 (15.5%)	49 (26.2%)	45 (24.1%)	31 (16.6%)
Islamic banks refrain from business transactions involving speculation.	36 (19.3%)	26 (13.9%)	52 (27.8%)	42 (22.5%)	31 (16.6%)
Islamic banks charge higher profit/interest rates than conventional banks.	35 (18.7%)	32 (17.1%)	42 (22.5%)	43 (23%)	35 (18.7%)
The services offered by Islamic banks are time and cost efficient.	35 (18.7%)	30 (16%)	60 (32.1%)	30 (16%)	32 (17.1%)
Islamic banks are more profitable for investment opportunities than conventional banks.	33 (17.6%)	28 (15%)	54 (28.9%)	36 (19.3%)	36 (19.3%)
The adherence to Islamic principles leads to higher quality financial products and services in the Islamic finance sector.	25 (13.4%)	31 (16.6%)	55 (29.4%)	38 (20.3%)	38 (20.3%)
Scholars and experts in the field of Islamic finance have a significant influence on my perceptions of Islamic Banking and Finance.	29 (15.5%)	25 (13.4%)	60 (32.1%)	41 (21.9%)	32 (17.1%)
I have consulted with a scholar or other religious authority on	41 (21.9%)	37 (19.8%)	49 (26.2%)	33 (17.6%)	27 (14.4%)

matters related to Islamic banking and finance.					
The popularity or perceived popularity of Islamic banking and finance products and services affect my decision to use them	30 (16%)	38 (20.3%)	47 (25.1%)	41 (21.9%)	31 (16.6%)
I believe that Islamic banking and finance is more socially responsible than conventional banking and finance.	26 (13.9%)	29 (15.5%)	62 (33.2%)	34 (18.2%)	36 (19.3%)
I would prefer to use an Islamic bank over a conventional bank, given the choice.	21 (11.2%)	30 (16%)	45 (24.1%)	45 (24.1%)	46 (24.6%)
I believe that Islamic banking and finance is more in line with global economic trends and changes than conventional banking and finance.	28 (15%)	31 (16.6%)	52 (27.8%)	33 (17.6%)	43 (23%)

The given results provide insights into the participants' perceptions and beliefs regarding Islamic banking and finance. The responses are presented in a tabular format, showing the frequency and percentage distribution of responses for each statement on a Likert scale ranging from "Strongly Disagree" to "Strongly Agree."

Here is a comprehensive interpretation of the results:

1. "I am familiar with Islamic Banking and Finance":

- 21.9% of respondents strongly disagreed, while 21.4% strongly agreed. A relatively balanced distribution of responses is observed, with 13.9% in disagreement, 20.9% expressing neutrality, and 21.9% in agreement.

2. "I understand the differences between Conventional Banking & Islamic banking":

- The responses are relatively evenly distributed.

- 20.9% of respondents strongly agreed, while 21.4% strongly disagreed.
- 21.4% were neutral, 23% agreed, and 13.4% disagreed.

3. "Islamic Banking involves risk sharing between the bank and customers":

- The largest percentage of respondents (27.8%) were neutral, while 13.4% strongly agreed.
- 19.3% strongly disagreed, 16.6% disagreed, and 23% agreed.

4. "Islamic Banks bear the loss in practical cases":

- The highest percentage of respondents (26.7%) disagreed, followed by 24.1% who were neutral.
- 19.3% strongly disagreed, 15% agreed and strongly agreed.

5. "Islamic Banks use classical Arabic linguistic words for their products and services to appear more Islamic":

- 17.6% of respondents strongly agreed, while 16.6% strongly disagreed.
- 17.6% disagreed, 23% were neutral, and 25.1% agreed.

6. "Islamic Banking is based on Sharia Principles":

- Most respondents (28.9%) were neutral, while 16.6% strongly disagreed.
- 13.9% disagreed, 17.6% strongly agreed, and 23% agreed.

7. "Islamic Banking promotes Islamic Values":

- The highest percentage of respondents (21.9%) strongly agreed, while 17.1% were neutral.
- 19.8% strongly disagreed, 20.3% disagreed, and 20.9% agreed.

8. "I believe the Murabaha mode of Islamic Finance is compliant with Shariah principles":

- Most respondents (28.9%) were neutral, while 12.3% strongly agreed.
- 23.5% strongly disagreed, 20.9% disagreed, and 14.4% agreed.

9. "I believe the Musharkah mode of Islamic Finance is compliant with Shariah principles":

- 28.3% of respondents were neutral, while 16.6% strongly disagreed.
- 16.6% agreed, 20.3% disagreed, and 18.2% strongly agreed.

10. "I believe the Mudarabah mode of Islamic Finance is compliant with Shariah principles":

- The highest percentage of respondents (26.2%) were neutral.
- 18.2% strongly disagreed, 20.9% disagreed, 20.3% agreed, and 14.4% strongly agreed.

11. "I believe the Ijarah mode of Islamic Finance is compliant with Shariah principles":

- The highest percentage of respondents (28.3%) were neutral, followed by 20.3% who agreed.
- 18.2% strongly disagreed, 18.7% disagreed, and 14.4% strongly agreed.

12. "I believe the Sukuk Bonds are compliant with Shariah principles":

- 29.9% of respondents were neutral, while 17.6% strongly disagreed.
- 20.3% disagreed, 15% agreed, and 17.1% strongly agreed.

13. "Islamic banks generate wealth through legitimate and asset-based investment":

- The largest percentage of respondents (28.3%) were neutral, while 17.6% strongly agreed.
- 15.5% strongly disagreed, 17.6% disagreed, and 20.9% agreed.

14. "Islamic banks work for the social and ethical benefit of their customers beyond profit returns":

- The highest percentage of respondents (26.2%) were neutral, while 15.5% disagreed.
- 24.1% agreed, 16.6% strongly agreed, and 17.6% strongly disagreed.

15. "Islamic banks refrain from business transactions involving speculation":

- 27.8% of respondents were neutral, while 19.3% strongly disagreed.
- 16.6% strongly agreed, 22.5% agreed, and 13.9% disagreed.

16. "Islamic banks charge higher profit/interest rates than conventional banks":

- The highest percentage of respondents (23%) agreed, followed by 22.5% were neutral.
- 17.1% disagreed, 18.7% strongly disagreed, and 18.7% strongly agreed.

17. "The services offered by Islamic banks are time and cost efficient":

- Most respondents (32.1%) were neutral, while 18.7% strongly disagreed.
- 16% agreed, 16% disagreed, and 17.1% strongly agreed.

18. "Islamic banks are more profitable for investment opportunities than conventional banks":

- 28.9% of respondents were neutral, while 17.6% strongly disagreed.
- 15% disagreed, 19.3% agreed, and 19.3% strongly agreed.

19. "The adherence to Islamic principles leads to higher quality financial products and services in the Islamic finance sector":

- The highest percentage of respondents (29.4%) neutral, while 13.4% strongly disagreed.
- 16.6% disagreed, 20.3% disagreed, and 20.3% strongly agreed.

20. "Scholars and experts in the field of Islamic finance have a significant influence on my perceptions of Islamic Banking and Finance":

- 32.1% of respondents were neutral, while 13.4% disagreed.
- 15.5% strongly disagreed, 21.9% agreed, and 17.1% strongly agreed.

21. "I have consulted with a scholar or other religious authority on matters related to Islamic banking and finance":

- The largest percentage of respondents (26.2%) were neutral, while 14.4% strongly agreed.
- 21.9% strongly disagreed, 19.8% disagreed, and 17.6% agreed.

22. "The popularity or perceived popularity of Islamic banking and finance products and services affect my decision to use them":

- The highest percentage of respondents (25.1%) were neutral, followed by 21.9% who agreed.
- 16% strongly disagreed, 20.3% disagreed, and 16.6% strongly agreed.

23. "I believe that Islamic banking and finance is more socially responsible than conventional banking and finance":

- 33.2% of respondents were neutral, while 13.9% strongly disagreed.
- 15.5% disagreed, 18.2% agreed, and 19.3% strongly agreed.

24. "I would prefer to use an Islamic bank over a conventional bank, given the choice":

- The highest percentage of respondents (24.6%) strongly agreed.
- 24.1% were neutral, 11.2% strongly disagreed, and 24.1% agreed.

25. "I believe that Islamic banking and finance is more in line with global economic trends and changes than conventional banking and finance":

- Most respondents (27.8%) were neutral, while 17.6% agreed.
- 16.6% disagreed, 15% strongly disagreed, and 23% strongly agreed.

These responses provide insights into the participants' perceptions and beliefs regarding specific aspects of Islamic banking and finance. The distribution of responses indicates varying degrees of agreement or disagreement, suggesting a diverse range of opinions among the respondents.

Statements	**Not at all**	**Slightly**	**Moderately**	**Quite a bit**	**A Lot**
I am familiar with Musharkah mode of Islamic Finance.	53 (28.3%)	25 (13.4%)	40 (21.4%)	33 (17.6%)	36 (19.3%)
I am familiar with Mudarabah mode of Islamic Finance.	47 (25.1%)	29 (15.5%)	37 (19.8%)	33 (17.6%)	41 (21.9%)
I am familiar with Ijarah mode of Islamic Finance.	47 (25.1%)	26 (13.9%)	43 (23%)	55 (29.4%)	16 (8.6%)
I am familiar with Islamic Bonds known as Sukuks.	54 (28.9%)	31 (16.6%)	39 (20.9%)	33 (17.6%)	30 (16%)

I am familiar with Murabaha mode of Islamic Finance.	49 (26.2%)	31 (16.6%)	42 (22.5%)	29 (15.5%)	36 (19.3%)

Based on the responses to the familiarity statements, the distribution of answers is as follows:

1. "I am familiar with Musharkah mode of Islamic Finance":

- 28.3% of respondents reported not being familiar with Musharkah mode.
- 19.3% indicated being familiar with it to a significant extent.
- 21.4% reported being moderately familiar.

2. "I am familiar with Mudarabah mode of Islamic Finance":

- 25.1% of respondents were not familiar with Mudarabah mode.
- 21.9% reported being familiar with it to a significant extent.
- 19.8% indicated being moderately familiar.

3. "I am familiar with Ijarah mode of Islamic Finance":

- 25.1% of respondents were not familiar with Ijarah mode.
- 29.4% reported being familiar with it to a significant extent.
- 8.6% indicated being quite familiar.
- 23% indicated being moderately familiar.

4. "I am familiar with Islamic Bonds known as Sukuks":

- 28.9% of respondents reported not being familiar with Sukuks.
- 16% indicated being quite familiar with them.
- 20.9% reported being moderately familiar.

5. "I am familiar with Murabaha mode of Islamic Finance":

- 26.2% of respondents were not familiar with Murabaha mode.
- 19.3% reported being familiar with it to a significant extent.

- 22.5% indicated being moderately familiar.

These responses provide insights into the participants' familiarity with different modes of Islamic finance. The distribution suggests that while some respondents are quite familiar with certain modes, others may not be familiar or only have a moderate level of familiarity.

Statements	**Frequency(%)**	
I have an account with Islamic Banking.	**Yes** 111 (59.4%)	**No** 76 (40.6%)
Which type of loan would you prefer to use for purchasing a house or car?	Conventional Banking 61 (32.6%)	Islamic Banking 126 (67.4%)
Which type of investment return do you prefer?	Conventional Banking 54 (28.9%)	Islamic Banking 133 (71.1%)

Based on the responses to the given statements, the distribution of answers is as follows:

1. "I have an account with Islamic Banking":

- According to the survey results, most respondents, specifically 59.4%, indicated that they have an account with Islamic Banking, suggesting a significant proportion of participants who actively engage with Islamic banking services. On the other hand, 40.6% of respondents reported not having an account with Islamic Banking, indicating a notable portion of participants who do not currently utilize Islamic banking services.

2. "Which type of loan would you prefer to use for purchasing a house or car?":

- Based on the survey findings, approximately 32.6% of the respondents expressed a preference for conventional banking when it comes to obtaining loans for purchasing a house or car. On the other hand, a significant majority of 67.4% of the respondents indicated a preference for Islamic banking for these types of loans. This suggests a higher inclination towards Islamic banking among the participants when it comes to borrowing for real estate or automobile financing.

3. "Which type of investment return do you prefer?":

- According to the survey results, 28.9% of the respondents expressed a preference for conventional banking when it comes to investment returns. In contrast, a majority of 71.1% of the respondents indicated a preference for Islamic banking for their investment returns. This suggests a higher level of trust and confidence in Islamic banking when it comes to investment opportunities and expected returns among the surveyed individuals.

These responses provide insights into the participants' preferences regarding banking accounts, loans for purchasing assets, and investment returns. Most respondents indicated having an account with Islamic Banking and expressed a preference for Islamic Banking when it comes to loans for purchasing a house or car, as well as for investment returns.

4.2 Analysis for the Results and Discussion of the Findings

4.2.1 Islamic Banking Awareness and GENDER

Testing of Homogeneity of Variances

```
Bartlett test of homogeneity of variances

data:  IBA by Gender
Bartlett's K-squared = 2.4283, df = 1, p-value = 0.1192
```

Based on the test results, the Bartlett's K-squared value is 2.4283, with 1 degree of freedom (df = 1). The associated p-value is 0.1192.

Since the p-value (0.1192) is greater than the commonly used significance level of 0.05, we do not have sufficient evidence to reject the null hypothesis. Therefore, we can conclude that there is no significant difference in the variances of the groups based on Bartlett's test.

T- Independent Samples Test Between IBA and Gender

Applying Two Independent Sample T Test with equal variances

(RStudio)

```
Two Sample t-test

data:  IBA by Gender
t = -1.0644, df = 185, p-value = 0.2885
alternative hypothesis: true difference in means between group
Female and group Male is not equal to 0
95 percent confidence interval:
 -2.869653  0.858300
sample estimates:
mean in group Female   mean in group Male
            22.63855             23.64423
```

Based on the test results, the t-value is -1.0644, with 185 degrees of freedom (df = 185). The associated p-value is 0.2885.

Since the p-value (0.2885) is greater than the commonly used significance level of 0.05, we do not have sufficient evidence to reject the null hypothesis. Therefore, we can conclude that there is no significant difference in the means between the "Female" and "Male" groups based on the

two-sample t-test, suggesting that Islamic Banking Awareness between Male and Female are similar on average.

4.2.2 Islamic Banking Awareness with AGE CATEGORIZED

Testing of Homogeneity of Variances

```
Bartlett test of homogeneity of variances

data:  IBA by AgeC
Bartlett's K-squared = 16.489, df = 3, p-value = 0.0009001
```

Based on the test results, the Bartlett's K-squared value is 16.489, with 3 degrees of freedom (df = 3). The associated p-value is 0.0009001.

Since the p-value (0.0009001) is less than the commonly used significance level of 0.05, we have sufficient evidence to reject the null hypothesis. Therefore, we can conclude that there is significant difference in the variances of the groups based on Bartlett's test.

ANOVA TEST

Applying ANOVA Test with unequal variances.

```
One-way analysis of means (not assuming equal variances)

data:  IBA and AgeC
F = 2.8596, num df = 3.00, denom df = 26.23, p-value = 0.05608
```

Based on the test results, the F-value is 2.8596. The degrees of freedom are calculated as follows: numerator degrees of freedom (num df) = 3.00 and denominator degrees of freedom (denom df) = 26.23. The associated p-value is 0.05608.

Since the p-value (0.05608) is slightly higher than the commonly used significance level of 0.05, we do not have strong evidence to reject the null hypothesis. However, the result suggests a trend towards significance.

Therefore, based on this analysis, we cannot conclude with certainty that there are significant differences in means between the groups, suggesting that Islamic Banking Awareness are somewhat quite similar between different age groups.

4.2.3 **Islamic Banking Awareness with QUALIFICATION**

Testing of Homogeneity of Variances

```
Bartlett test of homogeneity of variances

data:  IBA by Qualifications
Bartlett's K-squared = 0.56744, df = 2, p-value = 0.753
```

Based on the test results, the Bartlett's K-squared value is 0.56744, with 2 degrees of freedom (df = 2). The associated p-value is 0.753.

Since the p-value (0.753) is greater than the commonly used significance level of 0.05, we do not have sufficient evidence to reject the null hypothesis. Therefore, we can conclude that there is no significant difference in the variances of the groups based on Bartlett's test.

ANOVA TEST

Applying ANOVA Test with equal variances.

```
One-way analysis of means

data:  IBA and Qualifications
F = 4.3723, num df = 2, denom df = 184, p-value = 0.01396
```

Based on the test results, the F-value is 4.3723. The degrees of freedom are calculated as follows: numerator degrees of freedom (num df) = 2 and denominator degrees of freedom (denom df) = 184. The associated p-value is 0.01396.

Since the p-value (0.01396) is less than the commonly used significance level of 0.05, we have evidence to reject the null hypothesis. This indicates that there are statistically significant differences in means between the groups.

Therefore, based on this analysis, we can conclude that there are significant differences in means between the groups based on the "Qualifications" variable, suggesting that Islamic Banking Awareness varies with the Qualification of respondents.

4.2.4 **Islamic Banking Awareness with MONTHLY INCOME CATEGORIZED**

Testing of Homogeneity of Variances

```
Bartlett test of homogeneity of variances

data:  IBA by MIC
Bartlett's K-squared = 4.2086, df = 3, p-value = 0.2398
```

Based on the test results, the Bartlett's K-squared value is 4.2086, with 3 degrees of freedom (df = 3). The associated p-value is 0.2398.

Since the p-value (0.2398) is greater than the commonly used significance level of 0.05, we do not have sufficient evidence to reject the null hypothesis. Therefore, we can conclude that there is no significant difference in the variances of the groups based on Bartlett's test.

ANOVA TEST

Applying ANOVA Test with equal variances.

```
        One-way analysis of means

data:  IBA and MIC
F = 3.9494, num df = 3, denom df = 183, p-value = 0.009258
```

Based on the test results, the F-value is 3.9494. The degrees of freedom are calculated as follows: numerator degrees of freedom (num df) = 3 and denominator degrees of freedom (denom df) = 183. The associated p-value is 0.009258.

Since the p-value (0.009258) is less than the commonly used significance level of 0.05, we have evidence to reject the null hypothesis. This indicates that there are statistically significant differences in means between the groups.

Therefore, based on this analysis, we can conclude that there are significant differences in means between the groups based on the "MIC" variable, suggesting that Islamic Banking Awareness differs with Monthly Income of respondents.

4.2.5 **Islamic Banking Awareness with OCCUPATION**

Testing of Homogeneity of Variances

```
Bartlett test of homogeneity of variances

data:  IBA by Occupation
Bartlett's K-squared = 10.717, df = 3, p-value = 0.01336
```

Based on the test results, the Bartlett's K-squared value is 4.2086, with 3 degrees of freedom (df = 3). The associated p-value is 0.01336.

Since the p-value (0.01336) is less than the commonly used significance level of 0.05, we have sufficient evidence to reject the null hypothesis. Therefore, we can conclude that there is significant difference in the variances of the groups based on Bartlett's test.

ANOVA

Applying ANOVA Test with unequal variances.

```
One-way analysis of means (not assuming equal variances)

data:  IBA and Occupation
F = 7.7991, num df = 3.000, denom df = 80.587, p-value = 0.000
1235
```

Based on the test results, the F-value is 7.799. The degrees of freedom are calculated as follows: numerator degrees of freedom (num df) = 3 and denominator degrees of freedom (denom df) = 80.587. The associated p-value is 0.0001235.

Since the p-value (0.0001235) is less than the commonly used significance level of 0.05, we have evidence to reject the null hypothesis. This indicates that there are statistically significant differences in means between the groups.

Therefore, based on this analysis, we can conclude that there are significant differences in means between the groups based on the "Occupation" variable, suggesting that Islamic Banking Awareness is not similar on average among different Occupations of respondents.

4.2.6 **Islamic Banking Opinion and GENDER**

Testing of Homogeneity of variances

```
Bartlett test of homogeneity of variances

data:  IBO by Gender
Bartlett's K-squared = 6.9918, df = 1, p-value = 0.008188
```

Based on the test results, the Bartlett's K-squared value is 6.99, with 1 degree of freedom (df =1). The associated p-value is 0.008188.

Since the p-value (0.008188) is less than the commonly used significance level of 0.05, we have sufficient evidence to reject the null hypothesis. Therefore, we can conclude that there is significant difference in the variances of the groups based on Bartlett's test.

T INDEPENDT SAMPLE TEST

Applying Two Independent Sample T Test with unequal variances.

```
Welch Two Sample t-test

data:  IBO by Gender
t = 0.14868, df = 184.45, p-value = 0.882
alternative hypothesis: true difference in means between group
Female and group Male is not equal to 0
95 percent confidence interval:
 -3.085861  3.588873
sample estimates:
mean in group Female   mean in group Male
            57.62651             57.37500
```

The Welch Two Sample t-test was conducted to compare the means of the variable "IBO" between two groups: Female and Male. The test resulted in a t-value of 0.14868 and a p-value of 0.882.

Based on the p-value, which is greater than the commonly used significance level of 0.05, we do not have sufficient evidence to reject the null hypothesis.

In summary, the results indicate that Islamic Banking Opinion is similar among Gender of respondent on average.

4.2.7 **Islamic Banking Opinion with AGE CATEGORIZED**

Testing of Homogeneity of Variances

```
Bartlett test of homogeneity of variances

data:  IBO by AgeC
Bartlett's K-squared = 28.271, df = 3, p-value = 3.186e-06
```

Based on the test results, the Bartlett's K-squared value is 28.271, with 3 degrees of freedom (df =3). The associated p-value is 3.186e-06.

Since the p-value (3.186e-06) is less than the commonly used significance level of 0.05, we have sufficient evidence to reject the null hypothesis. Therefore, we can conclude that there is significant difference in the variances of the groups based on Bartlett's test.

ANOVA TEST

Applying ANOVA Test with unequal variances.

```
One-way analysis of means (not assuming equal variances)

data:  IBO and AgeC
F = 0.25534, num df = 3.000, denom df = 26.022, p-value = 0.85
68
```

Based on the test results, the F-value is 0.25534. The degrees of freedom are calculated as follows: numerator degrees of freedom (num df) = 3 and denominator degrees of freedom (denom df) = 26.022. The associated p-value is 0.8568.

Since the p-value (0.8568) is greater than the commonly used significance level of 0.05, we do not have evidence to reject the null hypothesis. This indicates that there are no statistically significant differences in means between the groups.

Therefore, based on this analysis, we can conclude that Islamic Banking Opinion among different age categorize is similar on average.

4.2.8 **Islamic Banking Opinion with QUALIFICATION**

Testing of Homogeneity of Variances

```
Bartlett test of homogeneity of variances

data:  IBO by Qualifications
Bartlett's K-squared = 3.5236, df = 2, p-value = 0.1717
```

Based on the test results, the Bartlett's K-squared value is 3.5236, with 2 degrees of freedom (df = 2). The associated p-value is 0.1717.

Since the p-value (0.1717) is greater than the commonly used significance level of 0.05, we do not have sufficient evidence to reject the null hypothesis. Therefore, we can conclude that there is no significant difference in the variances of the groups based on Bartlett's test.

ANOVA TEST

Applying ANOVA Test with equal variances.

```
One-way analysis of means

data:  IBO and Qualification
F = 3.6786, num df = 2, denom df = 184, p-value = 0.02713
```

Based on the test results, the F-value is 3.6786. The degrees of freedom are calculated as follows: numerator degrees of freedom (num df) = 2 and denominator degrees of freedom (denom df) = 184. The associated p-value is 0.02713.

Since the p-value (0.02713) is less than the commonly used significance level of 0.05, we have evidence to reject the null hypothesis. This indicates that there are statistically significant differences in means between the groups.

Therefore, based on this analysis, we can conclude Islamic Banking Opinion is not similar among different Qualification groups.

4.2.9 **Islamic Banking Opinion with OCCUPATION**

Testing of Homogeneity of Variances

```
Bartlett test of homogeneity of variances

data:  IBO by Occupation
Bartlett's K-squared = 4.9723, df = 3, p-value = 0.1738
```

Based on the test results, the Bartlett's K-squared value is 4.97, with 3 degrees of freedom (df = 3). The associated p-value is 0.1738.

Since the p-value (0.1738) is greater than the commonly used significance level of 0.05, we do not have sufficient evidence to reject the null hypothesis. Therefore, we can conclude that there is no significant difference in the variances of the groups based on Bartlett's test.

ANOVA TEST

Applying ANOVA Test with equal variances.

```
One-way analysis of means

data:  IBO and Occupation
F = 1.2561, num df = 3, denom df = 183, p-value = 0.2909
```

Based on the test results, the F-value is 1.2561. The degrees of freedom are calculated as follows: numerator degrees of freedom (num df) = 3 and denominator degrees of freedom (denom df) = 183. The associated p-value is 0.2909.

Since the p-value (0. 2909) is greater than the commonly used significance level of 0.05, we do not have evidence to reject the null hypothesis. This indicates that there are no statistically significant differences in means between the groups.

Therefore, based on this analysis, we can conclude Islamic Banking Opinion is similar on average between different Occupation of respondents.

4.2.10 **Islamic Banking Opinion with MONTHLY INCOME CATEGORIZED**

Testing of Homogeneity of Variances

```
Bartlett test of homogeneity of variances

data:  IBO by MIC
Bartlett's K-squared = 12.356, df = 3, p-value = 0.006259
```

Based on the test results, the Bartlett's K-squared value is 12.356, with 3 degrees of freedom (df =3). The associated p-value is 0.006259.

Since the p-value (0.006259) is less than the commonly used significance level of 0.05, we have sufficient evidence to reject the null hypothesis. Therefore, we can conclude that there is significant difference in the variances of the groups based on Bartlett's test.

ANOVA TEST

Applying ANOVA Test with unequal variances.

```
One-way analysis of means (not assuming equal variances)

data:  IBO and MIC
F = 1.2568, num df = 3.000, denom df = 97.264, p-value = 0.293
6
```

Based on the test results, the F-value is 1.2568. The degrees of freedom are calculated as follows: numerator degrees of freedom (num df) = 3 and denominator degrees of freedom (denom df) = 97.264. The associated p-value is 0.2936.

Since the p-value (0. 2936) is greater than the commonly used significance level of 0.05, we do not have evidence to reject the null hypothesis. This indicates that there are no statistically significant differences in means between the groups.

Therefore, based on this analysis, we can conclude Islamic Banking Opinion is same for different Monthly Income respondents.

4.2.11 CHI SQUARE TEST FOR UNINDEXED QUESTIONS

4.2.11.1 CHI SQUARE TEST FOR UNINDEXED QUESTIONS with GENDER

Sr#	Statements	Chi Square	P-Value
1	I have an account with Islamic Banking.	0.26958	0.6036
2	Scholars and experts in the field of Islamic finance have a significant influence on my perceptions of Islamic Banking and Finance.	1.1166	0.8916
3	I have consulted with a scholar or other religious authority on matters related to Islamic banking and finance	2.975	0.562
4	I would prefer to use an Islamic bank over a conventional bank, given the choice.	5.8078	0.214
5	Which type of loan would you prefer to use for purchasing a house or car?	0.084357	0.7715
6	Which type of investment return do you prefer?	0.11236	0.7375

1. The chi-square test was conducted to examine the association between the gender of respondents and whether they have an account with Islamic banking.

The alternative hypothesis (H_1) suggests that there is an association between these variables. Based on the chi-square test, with a chi-square value of 0.26958, the p-value associated with the test is 0.6036. Since the p-value is greater than the commonly used significance level of 0.05, we do not have sufficient evidence to reject the null hypothesis. Therefore, we conclude that there is no significant association between the gender of respondents and having an account with Islamic banking based on the given data.

2. The chi-square test was conducted to examine the association between the gender of respondents and the influence of scholars and experts in the field of Islamic finance on their perceptions of Islamic Banking and Finance.

The alternative hypothesis (H_1) suggests that there is an association between these variables. Based on the chi-square test, with a chi-square value of 1.1166, the p-value associated with the test is 0.8916. Since the p-value is greater than the commonly used significance level of 0.05, we do not have sufficient evidence to reject the null hypothesis. Therefore, we conclude that there is no significant association between the gender of respondents and the influence of scholars and experts on their perceptions of Islamic Banking and Finance based on the given data.

3. The chi-square test was performed to examine the association between the gender of respondents and their consultation with scholars or other religious authorities on matters related to Islamic banking and finance.

The alternative hypothesis (H_1) suggests that there is an association between these variables. The chi-square test yielded a chi-square value of 2.975 with 4 degrees of freedom, resulting in a p-value of 0.562. Since the p-value (0.562) is greater than the commonly used significance level of 0.05, we do not have enough evidence to reject the null hypothesis. Therefore, based on the given data, we conclude that there is no significant association between the gender of respondents and their consultation with scholars or other religious authorities on matters related to Islamic banking and finance.

4. The chi-square test was conducted to analyse the relationship between the gender of respondents and their preference for using an Islamic bank over a conventional bank.

The alternative hypothesis (H_1) suggests that there is an association between these variables. Based on the chi-square test, the obtained chi-square value was 5.8078 with 4 degrees of freedom, resulting in a p-value of 0. 214.Since the p-value (0.214) is greater than the commonly used significance level of 0.05, we do not have sufficient evidence to reject the null hypothesis. Therefore, based on the available data, we conclude that there is no significant association between the gender of respondents and their preference for using an Islamic bank over a conventional bank, given the choice.

5. The chi-square test was conducted to examine the relationship between the gender of respondents and their preference for the type of loan they would use for purchasing a house or car.

The alternative hypothesis (H_1) suggests that there is an association between these variables. Based on the chi-square test, the obtained chi-square value was 0.084357 with 1 degree of freedom, resulting in a p-value of 0.7715. Since the p-value (0.7715) is greater than the commonly used significance level of 0.05, we do not have sufficient evidence to reject the null hypothesis. Therefore, based on the available data, we conclude that there is no significant association between the gender of respondents and their preference for the type of loan (conventional banking or Islamic banking) for purchasing a house or car.

6. The chi-square test was conducted to assess the relationship between the gender of respondents and their preference for the type of investment return (conventional banking or Islamic banking).

The alternative hypothesis (H_1) suggests that there is an association between these variables. Based on the chi-square test, the obtained chi-square value was 0.11236 with 1 degree of freedom, resulting in a p-value of 0.7375. Since the p-value (0.7375) is greater than the commonly used significance level of 0.05, we do not have sufficient evidence to reject the null hypothesis. Therefore, based on the available data, we conclude that there is no significant association between the gender of respondents and their preference for the type of investment return (conventional banking or Islamic banking).

4.2.11.2 CHI SQUARE TEST FOR UNINDEXED QUESTIONS with AGE CATEGORIZED

Sr#	Statements	Chi Square	P-Value
1	I have an account with Islamic Banking.	5.5921	0.1332
2	Scholars and experts in the field of Islamic finance have a significant influence on my perceptions of Islamic Banking and Finance.	16.575	0.1663
3	I have consulted with a scholar or other religious authority on matters related to Islamic banking and finance	14.743	0.2558
4	I would prefer to use an Islamic bank over a conventional bank, given the choice.	18.42	0.1035
5	Which type of loan would you prefer to use for purchasing a house or car?	15.82	0.001235
6	Which type of investment return do you prefer?	5.9612	0.1135

1. The Pearson's chi-squared test was performed to determine if there is an association between age category and having an account with Islamic Banking.

The chi-square test statistic was calculated to be 5.5921, and it has 3 degrees of freedom. The resulting p-value is 0.1332. Since the p-value (0.1332) is greater than the common significance level of 0.05, we do not have sufficient evidence to reject the null hypothesis. Therefore, we conclude that there is no significant association between age category and having an account with Islamic Banking.

2. The Pearson's chi-squared test was performed to determine if there is an association between age category and the influence of scholars and experts on perceptions of Islamic Banking and Finance.

The chi-square test statistic was calculated to be 16.575, and it has 12 degrees of freedom. The resulting p-value is 0.1663. Since the p-value (0.1663) is greater than the common significance level of 0.05, we do not have sufficient evidence to reject the null hypothesis. Therefore, we conclude that there is no significant association

between age category and the influence of scholars and experts on perceptions of Islamic Banking and Finance.

3. The Pearson's chi-squared test was performed to determine if there is an association between age category and consulting with scholars or religious authorities on matters related to Islamic banking and finance.

The chi-square test statistic was calculated to be 14.743, and it has 12 degrees of freedom. The resulting p-value is 0.2558. Since the p-value (0.2558) is greater than the common significance level of 0.05, we do not have sufficient evidence to reject the null hypothesis. Therefore, we conclude that there is no significant association between age category and consulting with scholars or religious authorities on matters related to Islamic banking and finance.

4. To assess the association between age category and preference for Islamic banks, a Pearson's chi-squared test was conducted.

The chi-square test statistic was calculated to be 18.42, with 12 degrees of freedom. The resulting p-value is 0.1035. Since the p-value (0.1035) exceeds the commonly used significance level of 0.05, we do not have sufficient evidence to reject the null hypothesis. Thus, we can conclude that there is no significant association between age category and preference for Islamic banks over conventional banks.

5. To examine the association between age category and loan preference, a Pearson's chi-squared test was conducted.

The chi-square test statistic was calculated to be 15.82, with 3 degrees of freedom. The resulting p-value is 0.001235. Since the p-value (0.001235) is less than the commonly used significance level of 0.05, we can reject the null hypothesis. This suggests that there is a significant association between age category and loan preference for purchasing a house or car between Islamic and Conventional Banks.

6. To examine the association between age category and investment return preference, a Pearson's chi-squared test was conducted.

The chi-square test statistic was calculated to be 5.9612, with 3 degrees of freedom. The resulting p-value is 0.1135. Since the p-value (0.1135) is greater than the commonly used

significance level of 0.05, we do not have enough evidence to reject the null hypothesis. This suggests that there may not be a significant association between age category and investment return preference.

4.2.11.3 CHI SQUARE TEST FOR UNINDEXED QUESTIONS with QUALIFICATION

Sr#	Statements	Chi Square	P-Value
1	I have an account with Islamic Banking.	1.7858	0.4095
2	Scholars and experts in the field of Islamic finance have a significant influence on my perceptions of Islamic Banking and Finance.	8.5499	0.3817
3	I have consulted with a scholar or other religious authority on matters related to Islamic banking and finance	22.462	0.004129
4	I would prefer to use an Islamic bank over a conventional bank, given the choice.	12.1	0.1468
5	Which type of loan would you prefer to use for purchasing a house or car?	3.9335	0.1399
6	Which type of investment return do you prefer?	2.3704	0.3057

1. The chi-square statistic calculated is 1.7858, with 2 degrees of freedom. The p-value associated with the test is 0.4095.

Interpreting the results, since the p-value is greater than the chosen significance level (e.g., 0.05), we do not have sufficient evidence to reject the null hypothesis. This suggests that there is no statistically significant association between having an account with Islamic Banking and the qualifications of the respondents. In other words, based on the available data, there is no strong evidence to suggest that the qualifications of the respondents are related to their likelihood of having an account with Islamic Banking.

2. The chi-square statistic calculated is 8.5499, with 8 degrees of freedom. The p-value associated with the test is 0.3817.

Interpreting the results, since the p-value is greater than the chosen significance level (e.g., 0.05), we do not have sufficient evidence to reject the null hypothesis. This suggests that

there is no statistically significant association between the influence of scholars and experts in the field of Islamic finance on the perceptions of Islamic Banking and Finance and the qualifications of the respondents. In other words, based on the available data, there is no strong evidence to suggest that the qualifications of the respondents are related to their perceptions of Islamic Banking and Finance influenced by scholars and experts in the field.

3. The chi-square statistic calculated is 22.462, with 8 degrees of freedom. The p-value associated with the test is 0.004129.

Interpreting the results, since the p-value is less than the chosen significance level (e.g., 0.05), we have evidence to reject the null hypothesis. This suggests that there is a statistically significant association between consulting with a scholar or other religious authority on matters related to Islamic banking and finance and the qualifications of the respondents. In other words, based on the available data, there is strong evidence to suggest that the qualifications of the respondents are related to their tendency to consult with a scholar or other religious authority on matters related to Islamic banking and finance.

4. The chi-square statistic calculated is 12.1, with 8 degrees of freedom. The p-value associated with the test is 0.1468.

Interpreting the results, since the p-value is greater than the chosen significance level (e.g., 0.05), we do not have sufficient evidence to reject the null hypothesis. This suggests that there is no statistically significant association between the preference for using an Islamic bank over a conventional bank and the qualifications of the respondents based on the available data. In other words, the qualifications of the respondents do not appear to be strongly related to their preference for using an Islamic bank over a conventional bank.

5. The calculated chi-square statistic is 3.9335, with 2 degrees of freedom. The associated p-value is 0.1399.

Interpreting the results, since the p-value is greater than the chosen significance level (e.g., 0.05), there is insufficient evidence to reject the null hypothesis. This implies that there is no statistically significant association between the preferred type of loan

and the qualifications of the respondents based on the available data. In other words, the qualifications of the respondents do not appear to be strongly related to their preference for a specific type of loan when purchasing a house or car.

6. The calculated chi-square statistic is 2.3704, with 2 degrees of freedom. The associated p-value is 0.3057.

Interpreting the results, since the p-value is greater than the chosen significance level (e.g., 0.05), there is insufficient evidence to reject the null hypothesis. This suggests that there is no statistically significant association between the preferred type of investment return and the qualifications of the respondents based on the available data. In simpler terms, the qualifications of the respondents do not seem to be strongly related to their preference for a specific type of investment return (conventional or Islamic).

4.2.11.4 CHI SQUARE TEST FOR UNINDEXED QUESTIONS with OCCUPATION

Sr#	Statements	Chi Square	P-Value
1	I have an account with Islamic Banking.	6.5631	0.08721
2	Scholars and experts in the field of Islamic finance have a significant influence on my perceptions of Islamic Banking and Finance.	5.6909	0.9309
3	I have consulted with a scholar or other religious authority on matters related to Islamic banking and finance	10.33	0.587
4	I would prefer to use an Islamic bank over a conventional bank, given the choice.	12.981	0.3704
5	Which type of loan would you prefer to use for purchasing a house or car?	13.494	0.003681
6	Which type of investment return do you prefer?	2.4799	0.4789

1. The calculated chi-square statistic is 6.5631, with 3 degrees of freedom. The associated p-value is 0.08721.

Interpreting the results, since the p-value (0.08721) is greater than the chosen significance level (e.g., 0.05), there is insufficient evidence to reject the null hypothesis. This suggests that there is no statistically significant association between having an account with Islamic Banking and the occupation of the respondents based on the available data. In simpler terms, the occupation of the respondents does not appear to be strongly related to whether they have an account with Islamic Banking or not.

2. The calculated chi-square statistic is 5.6909, with 12 degrees of freedom. The associated p-value is 0.9309.

Interpreting the results, since the p-value (0.9309) is much greater than the chosen significance level (e.g., 0.05), there is no statistically significant evidence to reject the null hypothesis. This suggests that there is no significant association between the influence of scholars and experts in the field of Islamic finance on the perceptions of Islamic Banking and Finance and the occupation of the respondents based on the available data. In simpler terms, the occupation of the respondents does not appear to have a strong influence on how scholars and experts in the field of Islamic finance shape their perceptions of Islamic Banking and Finance.

3. The calculated chi-square statistic is 10.33, with 12 degrees of freedom. The associated p-value is 0.587.

Interpreting the results, since the p-value (0.587) is much greater than the chosen significance level (e.g., 0.05), there is no statistically significant evidence to reject the null hypothesis. This suggests that there is no significant association between consulting with scholars or other religious authorities on matters related to Islamic banking and finance and the occupation of the respondents based on the available data. In simpler terms, the occupation of the respondents does not appear to have a strong influence on their likelihood of consulting with scholars or religious authorities on matters related to Islamic banking and finance.

4. The calculated chi-square statistic is 12.981, with 12 degrees of freedom. The associated p-value is 0.3704.

Interpreting the results, since the p-value (0.3704) is greater than the chosen significance level (e.g., 0.05), there is no statistically significant evidence to reject the null hypothesis. This suggests that there is no significant association between the preference for using an Islamic bank over a conventional bank and the occupation of the respondents based on the available data. In simpler terms, the occupation of the respondents does not appear to have a strong influence on their preference for using an Islamic bank over a conventional bank.

5. The calculated chi-square statistic is 13.494, with 3 degrees of freedom. The corresponding p-value is 0.003681.

Interpreting the results, the p-value (0.003681) is less than the chosen significance level (e.g., 0.05). This indicates that there is statistically significant evidence to reject the null hypothesis. Therefore, there is a significant association between the preference for the type of loan (conventional banking or Islamic banking) and the occupation of the respondents based on the available data. In simpler terms, the occupation of the respondents appears to influence their preference for the type of loan when purchasing a house or car.

6. The computed chi-square statistic is 2.4799, with 3 degrees of freedom. The associated p-value is 0.4789.

Interpreting the results, the p-value (0.4789) is greater than the chosen significance level (e.g., 0.05). Therefore, there is insufficient evidence to reject the null hypothesis. We do not have enough evidence to conclude that there is a significant association between the preference for the type of investment return and the occupation of the respondents based on the given data. In simpler terms, the occupation of the respondents does not appear to have a significant influence on their preference for the type of investment return (conventional banking or Islamic banking).

4.2.11.5 CHI SQUARE TEST FOR UNINDEXED QUESTIONS with MONTHLY INCOME CATEGORIZED

Sr#	Statements	Chi Square	P-Value
1	I have an account with Islamic Banking.	0.8868	0.8286
2	Scholars and experts in the field of Islamic finance have a significant influence on my perceptions of Islamic Banking and Finance.	12.617	0.3975
3	I have consulted with a scholar or other religious authority on matters related to Islamic banking and finance	13.341	0.3447
4	I would prefer to use an Islamic bank over a conventional bank, given the choice.	8.5885	0.7376
5	Which type of loan would you prefer to use for purchasing a house or car?	8.9485	0.02998
6	Which type of investment return do you prefer?	2.2461	0.5229

1. The computed chi-square statistic is 0.8868, with 3 degrees of freedom. The associated p-value is 0.8286.

Interpreting the results, the p-value (0.8286) is greater than the chosen significance level (e.g., 0.05). Therefore, there is insufficient evidence to reject the null hypothesis. We do not have enough evidence to conclude that there is a significant association between having an account with Islamic Banking and the monthly income category of the respondents based on the given data. In simpler terms, the monthly income category does not appear to have a significant influence on whether respondents have an account with Islamic Banking.

2. The computed chi-square statistic is 12.617, with 12 degrees of freedom. The associated p-value is 0.3975.

Interpreting the results, the p-value (0.3975) is greater than the chosen significance level (e.g., 0.05). Therefore, there is insufficient evidence to reject the null hypothesis. We do not have enough evidence to conclude that there is a significant association between the

influence of scholars and experts on perceptions of Islamic Banking and Finance and the monthly income category of the respondents based on the given data. In simpler terms, the monthly income category does not appear to have a significant influence on how respondents perceive Islamic Banking and Finance in relation to the influence of scholars and experts.

3. The computed chi-square statistic is 13.341, with 12 degrees of freedom. The associated p-value is 0.3447.

Interpreting the results, the p-value (0.3447) is greater than the chosen significance level (e.g., 0.05). Therefore, there is insufficient evidence to reject the null hypothesis. We do not have enough evidence to conclude that there is a significant association between consulting with a scholar or religious authority on matters related to Islamic banking and finance and the monthly income category of the respondents based on the given data. In simpler terms, the monthly income category does not seem to have a significant influence on whether respondents consult with scholars or religious authorities regarding Islamic banking and finance.

4. The computed chi-square statistic is 8.5885, with 12 degrees of freedom. The associated p-value is 0.7376.

Interpreting the results, the p-value (0.7376) is greater than the chosen significance level (e.g., 0.05). Therefore, based on the available data, there is insufficient evidence to reject the null hypothesis. We do not have enough evidence to conclude that there is a significant association between the preference for using an Islamic bank over a conventional bank and the monthly income category of the respondents. In simpler terms, the monthly income category does not appear to have a significant influence on the preference for using an Islamic bank over a conventional bank among the respondents.

5. The computed chi-square statistic is 8.9485, with 3 degrees of freedom. The associated p-value is 0.02998.

Interpreting the results, the p-value (0.02998) is less than the chosen significance level (e.g., 0.05). Therefore, based on the available data, we have sufficient evidence

to reject the null hypothesis and conclude that there is a significant association between the preference for a type of loan and the monthly income category of the respondents. In simpler terms, the monthly income category appears to have a significant influence on the preference for a type of loan (conventional banking or Islamic banking) when purchasing a house or car.

6. The computed chi-square statistic is 2.2461, with 3 degrees of freedom. The associated p-value is 0.5229.

Interpreting the results, the p-value (0.5229) is greater than the chosen significance level (e.g., 0.05). Therefore, based on the available data, we do not have sufficient evidence to reject the null hypothesis. We conclude that there is no significant association between the preference for a type of investment return and the monthly income category of the respondents. In simpler terms, the monthly income category does not appear to have a significant influence on the preference for a type of investment return (conventional banking or Islamic banking).

Chapter 5

Summary, Conclusion, Final Discussion

Islamic banking and finance, also known as Shariah-compliant banking and finance, operate based on the principles of profit and loss sharing and the prohibition of interest (Riba). It is guided by the Shariah principles of impartiality, equity, and integrity. Islamic capital mobilization involves deploying money in the real economy through Shariah-compliant instruments like Mudarabah, Musharkah, and Murabaha. While Islamic finance is developed to meet specific needs, it is not solely a religious product.

The Quran and Hadith provide broad guidelines for permissible economic activities in Islam. Riba (usury) is strictly prohibited, and Muslims are advised to avoid transactions involving excessive uncertainty (Gharar), outright gambling (Maysir), and prohibited products. Islamic banking has faced criticism for not being truly Islamic and replicating conventional banking practices with some Shariah-compliant features.

Perceptions of Islamic and conventional banking vary among customers based on cultural, religious, and personal beliefs. Some customers view Islamic banking as a more ethical and socially responsible option aligned with their Islamic values. As a result, they tend to favor Islamic banking products and services that resonate with their beliefs and principles.

This research aims to statistically evaluate the public's perception of the adherence to Islamic principles in Islamic Banking and Finance. Specific objectives include analyzing the awareness and understanding of Islamic Banking and Finance, assessing the public's perception of the conformity of practices to Islamic principles, examining factors influencing public perception, comparing perceptions across demographic groups, and providing insights and recommendations to enhance understanding and awareness of Islamic Banking and Finance principles. This study contributes to existing knowledge and provides empirical evidence on the alignment of practices with Islamic principles from the public's perspective.

The sample population for this thesis consists of the general public from various sectors of life. Questionnaire surveys were conducted to gather data on the public's perceptions of Islamic banking products and services in Pakistan. The questionnaire included eight demographic

questions and thirty-three questions related to Islamic Banking and Finance. A total of 186 responses were collected.

The study sample consisted of 187 participants, with a diverse demographic composition. The age distribution revealed that most respondents fell within the age range of 19 to 28 years, comprising 43.3% of the sample. Additionally, a significant portion of participants were between 29 and 60 years old, representing 34.2% of the respondents. There were also smaller proportions of individuals below 18 years of age (3.7%) and over 60 years of age (18.7%). In terms of gender, the sample included 83 females (44.4%) and 104 males (55.6%). Most participants identified as Muslims (97.3%), while a minority identified as non-Muslims (2.7%). Educational backgrounds varied, with 33.7% reporting a graduate level of education, 28.9% indicating a post-graduate background, and 37.4% at the undergraduate level. The sample also encompassed individuals from various occupations, including businessmen (16.0%), government employees (24.6%), private employees (18.7%), and students (40.6%). Regarding income, 24.6% had an income above Rs. 70000, 34.8% had an income below Rs. 30000, 21.4% fell within the Rs. 30000 to Rs. 50000 range, and 19.3% had an income between Rs. 50001 and Rs. 70000.

5.1 **Results**

5.1.1 **Islamic Banking Awareness**

Gender: The two-sample t-test results indicate that there is no significant difference in Islamic Banking Awareness between males and females ($p = 0.2885$). The means of the two groups are similar on average.

Age: The ANOVA test suggests a trend towards significance ($p = 0.05608$). While we do not have strong evidence to reject the null hypothesis, indicating similar Islamic Banking Awareness across age groups.

Qualification: The ANOVA test reveals statistically significant differences in means between different qualification groups ($p = 0.01396$). Islamic Banking Awareness varies with the qualification of respondents.

Monthly Income: The ANOVA test shows significant differences in means between the groups based on monthly income categories ($p = 0.009258$). Islamic Banking Awareness differs with respondents' monthly income.

Occupation: The ANOVA test indicates significant differences in means between different occupation groups (p = 0.0001235). Islamic Banking Awareness varies among different occupations.

In summary, the analysis suggests that Islamic Banking Awareness is similar between genders and across different age groups. However, there are significant differences in awareness based on qualification, monthly income, and occupation.

5.1.2 **Opinion about Islamic Banking**

Gender: The two-sample t-test results suggest that there is no significant difference in Islamic Banking Opinion between males and females (p = 0.882), the opinions regarding Islamic banking are similar among respondents of different genders.

Age: The ANOVA test results indicate that there are no statistically significant differences in means between different age groups (p = 0.8568), Islamic Banking Opinion is similar across age categories.

Qualification: The ANOVA test reveals statistically significant differences in means between different qualification groups (p = 0.02713), there are significant variations in Islamic Banking Opinion based on respondents' qualifications.

Occupation: The ANOVA test shows no statistically significant differences in means between different occupation groups (p = 0.2909); Islamic Banking Opinion is similar on average among respondents from different occupations.

Monthly Income: The ANOVA test results indicate no statistically significant differences in means between different monthly income groups (p = 0.2936), Islamic Banking Opinion is the same for respondents with different monthly incomes.

In summary, the analysis indicates that Islamic Banking Opinion is similar among respondents of different genders, ages, occupations, and monthly incomes. However, there are significant differences in opinion based on respondents' qualifications.

5.1.3 **Tests based on Chi Square**

5.1.3.1 **Association with having account in Islamic Banks**

The chi-square test results indicate that the variables of gender, age category, qualifications, occupation, and monthly income category do not show a significant

association with the likelihood of individuals having an account with Islamic banking. The p-values for gender (p = 0.6036), age category (p = 0.1332), qualifications (p = 0.4095), occupation (p = 0.08721), and monthly income category (p = 0.8286) all exceed the chosen significance level (e.g., 0.05). Therefore, based on the available data, we cannot reject the null hypothesis and conclude that these variables do not play a significant role in determining whether individuals have an account with Islamic banking. This suggests that factors other than gender, age category, qualifications, occupation, and monthly income category may be more influential in individuals' decisions to have an account with Islamic banking.

5.1.3.2 Influence of Scholars on Perception about Islamic Banking

The chi-square test results suggest that there is no significant association between the gender of respondents and the influence of scholars and experts on their perceptions of Islamic Banking and Finance (p = 0.8916). Similarly, no significant associations were found between age category (p = 0.1663), qualifications (p = 0.3817), occupation (p = 0.9309), and monthly income category (p = 0.3975) with the influence of scholars and experts on perceptions of Islamic Banking and Finance. Therefore, based on the available data, we cannot reject the null hypothesis and conclude that gender, age category, qualifications, occupation, and monthly income category do not significantly influence how respondents perceive Islamic Banking and Finance in relation to the influence of scholars and experts. In other words, these factors do not appear to have a significant impact on how scholars and experts in the field of Islamic finance shape the perceptions of respondents regarding Islamic Banking and Finance.

5.1.3.3 Preference for using Islamic Banking

The chi-square test results indicate that there is no significant association between the gender of respondents and their preference for using an Islamic bank over a conventional bank (p = 0.214). Similarly, no significant associations were found between age category (p = 0.1035), qualifications (p = 0.1468), occupation (p = 0.3704), and monthly income category (p = 0.7376) with the preference for using an Islamic bank. Therefore, based on the available data, we cannot reject the null hypothesis and conclude that these factors do not significantly influence the preference for using an Islamic bank over a conventional bank. In other words, gender, age category, qualifications, occupation, and monthly income category do not appear to play a significant role in determining the preference for using an Islamic bank over a conventional bank among the respondents.

5.1.3.4 Preference for Type of loan

The chi-square test results indicate that there is no significant association between the gender of respondents and their preference for the type of loan (conventional banking or Islamic banking) when purchasing a house or car ($p = 0.7715$). However, age category showed a significant association with loan preference ($p = 0.001235$), indicating that age plays a significant role in determining the preference for a specific type of loan. Additionally, there was no significant association between loan preference and respondents' qualifications ($p = 0.1399$). However, a significant association was found between loan preference and respondents' occupation ($p = 0.003681$) as well as their monthly income category ($p = 0.02998$). These findings suggest that while gender and qualifications do not significantly influence loan preference, age, occupation, and monthly income category are important factors in determining the preference for the type of loan when purchasing a house or car.

5.1.3.5 Preference for investment return

The chi-square test results indicate that there is no significant association between the gender of respondents and their preference for the type of investment return (conventional banking or Islamic banking) ($p = 0.7375$). Furthermore, no significant associations were found between age category ($p = 0.1135$), qualifications ($p = 0.3057$), occupation ($p = 0.4789$), and monthly income category ($p = 0.5229$) with investment return preference. These findings suggest that gender, age category, qualifications, occupation, and monthly income category do not play a significant role in influencing the preference for the type of investment return in the context of conventional banking or Islamic banking, based on the available data.

5.2 Recommendation

Results from the data show that Islamic Banking and Finance awareness differs in Public with Qualification, Monthly Income, and Occupation. Future Studies or Islamic Banks can develop their strategies, accordingly, keeping in view the before mentioned variables.

Qualification of respondents greatly effects the Opinion about Islamic Banking and Finance, therefore Islamic Banks should be working towards higher studies students to develop a better business model in line with Sharia'h.

The characteristics of respondents, such as gender, age, qualification, occupation, and monthly income, are not influenced by Islamic scholars or the use of Islamic banks when forming their opinion about whether Islamic banks operate as truly Islamic.

Islamic Banking and Finance fails to influence, as respondents do not care for their investment returns weather, they are Islamic banks returns or conventional ones.

Overall, data shows respondents do not consider Islamic Banks as truly "Islamic" as they are not Influenced by scholars, do not care for their investment returns or applying for loans in banks etc. Islamic Banking and Finance should work to great extent to present itself as an "Islamic". They are performing exceptionally establishing as rival for conventional banks for years, but the Public does not seem to understand it as a contender for Conventional Banks.

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Appendix

TOPIC:

How "ISLAMIC" is
ISLAMIC BANKING & FINANCE?
A STATISTICAL STUDY TO ASSESS GENERAL PUBLIC PERSPECTIVE.

1. Age _____
2. Gender a) Male b) Female
3. Religion a) Muslim b) non-Muslim
4. Qualifications a) Undergraduate b) Graduate c) Postgraduate
5. Occupation a) Businessman b) Private Employee c) Govt. Employee d) Student
6. Monthly Income (in Rs.) a) Less than 30000 b) 30000 - 50000 c)50001 – 60000 d) 60001 – above
7. Education Subject _____
8. District_____
9. I have an Account with Islamic Banking. a)Yes b)No

Sr#	Statement	Strongly Disagree	Disagree	Neutral	Agree	Strongly Agree
10	I am familiar with Islamic banking and finance.					
11	I understand the differences between Conventional banking and Islamic banking.					
12	Islamic banking involves risk sharing between the bank and its customers.					
13	Islamic Banks bear the loss in practical cases.					
14	Islamic banks use classical Arabic linguistic words for their products and services to appear more Islamic.					
15	Islamic banking is based on Shariah principles.					
16	Islamic banking promotes Islamic values.					
17	I am familiar with the Murabaha mode of Islamic finance.					

18	I believe the Murabaha mode of Islamic finance is compliant with Shariah principles.					
19	I am familiar with the Musharkah mode of Islamic finance.					
20	I believe the Musharkah mode of Islamic finance is compliant with Shariah principles.					
21	I am familiar with the Mudarabah mode of Islamic finance.					
22	I believe the Mudarabah mode of Islamic finance is compliant with Shariah principles.					
23	I am familiar with the Ijarah mode of Islamic finance.					
24	I believe the Ijarah mode of Islamic finance is compliant with Shariah principles.					
25	I am familiar with Islamic financial bonds, known as Sukuk.					
26	I believe Sukuk bonds are compliant with Shariah principles.					
27	Islamic banks generate wealth through legitimate and asset-based investment.					
28	Islamic banks work for the social and ethical benefit of their customers beyond profit returns.					
29	Islamic banks refrain from business transactions involving speculation.					
30	Islamic banks charge higher profit/interest rates than conventional banks.					
31	The services offered by Islamic banks are time and cost efficient.					
32	Islamic banks are more profitable for investment opportunities than conventional banks.					
33	The adherence to Islamic principles leads to higher quality financial products and services in the Islamic finance sector.					
34	Scholars and experts in the field of Islamic finance have a significant influence on my perceptions of Islamic Banking and Finance.					

35	I have consulted with a scholar or other religious authority on matters related to Islamic banking and finance.					
36	The popularity or perceived popularity of Islamic banking and finance products and services affect my decision to use them					
37	I believe that Islamic banking and finance is more socially responsible than conventional banking and finance.					
38	I would prefer to use an Islamic bank over a conventional bank, given the choice.					
39	I believe that Islamic banking and finance is more in line with global economic trends and changes than conventional banking and finance.					

40. Which type of loan would you prefer to use for purchasing a house or car?

a) Islamic Banking b) Conventional Banking

41. Which type of investment return do you prefer?

a) Islamic Banking b) Conventional Banking